3 Kinds of Companies

3.0 Introduction

The Companies Act, 2013 provides for a variety of companies that may be promoted and registered under the Act. The two common types of companies which may be registered under the Act are :—

(*a*) Private companies

(*i*) One person company

(*ii*) Small company

(*b*) Public companies

These companies may be incorporated either as limited liability companies or as unlimited liability companies.

Limited liability companies may be :—

(*i*) Companies limited by shares; (*ii*) Companies limited by guarantee; (*iii*) Companies limited by guarantee as well as shares.

Companies may also be classified as :—

(*a*) Statutory Companies; (*b*) Registered Companies; (*c*) Existing Companies; (*d*) Associations not for profit; (*e*) Government Companies; (*f*) Foreign Companies; (*g*) Holding and Subsidiary Companies.

3.1 Private company

By virtue of section 2(*68*)*, as amended by the Companies (Amendment) Act, 2015, a private company means a company having a minimum paid up share capital, as may be prescribed, and which by its articles:

(*a*) restricts the right to transfer its shares, if any;

(*b*) limits the number of its members to 200, not including :—

(*i*) persons who are in the employment of the company, and

*Minimum paid up share capital requirement of Rs. 1 lakh has been omitted vide the Companies (Amendment) Act, 2015, w.e.f. 29-5-2015.

(*ii*) persons who, having been formerly in the employment of the company, were members of the company while in that employment and have continued to be members after the employment ceased; and

where two or more persons hold one or more shares in a company jointly, they shall, for the purposes of membership, be treated as a single member.

(*c*) prohibits invitation to the public to subscribe for any securities of the company.

In view of the aforesaid definition, a private company must, in its articles, incorporate the said restrictions, limitations and prohibitions.

3.1-1 Restrictions on transferability of shares

Consistent with the objective of promoting the company as a closely knit family or friendly affair, a private company has to contain the specific restrictions so as to prevent anybody or everybody acquiring shares of the company by transfer and thereby defeating the very objective of promotion of the company as a private company. This restriction should uniformally apply to all the shareholders of the private company and accordingly the articles usually provide that directors may in their absolute discretion and without assigning any reason therefor decline to register a transfer of any share whether fully paid or partly paid. *However, this restriction should not be construed as a ban on any transfer of shares.* Transfer in circumstances not covered by specific restriction(s) is possible. *It is important to note that this restriction is relevant only in case of a private company having share capital and, therefore, is inapplicable to a private company incorporated as a pure guarantee company.*

Courts generally have held that a restriction by way of pre-emption is permissible. In other words, the articles may provide that a shareholder shall have to offer the shares; he intends to transfer, to a specified group, *e.g.*, any of the existing shareholders. A concomitant to this also is often seen in the articles, *i.e.*, determination of the price at which the shares are to be transferred, say at a fair value to be determined either by a formula given in the articles or as determined by the auditor of the company. If the shareholder fails to get acceptance of his offer to transfer shares in terms of the provisions of the articles, he would then be free to offer the shares to any other person and the directors ordinarily will be obliged to affect the transfer. It may be noted that even after making the offer to sell, the offer may be withdrawn before acceptance unless as per articles the offer is irrevocable. If an entire lot of shares is offered, a partial acceptance by one who enjoys the right of pre-emption will entitle the offerer to withdraw the offer.

Only restrictions contained in articles are valid - The only permissible restrictions on transferability are those contained in the company's articles of association. An additional restriction not contained in the articles but in a private agreement between two shareholders which places further obstacles in the way of transferability is not binding either on the company or on the shareholders - *V.B. Nagaraj* v. *V.B. Gopalakrishnan* [1991] CLA 211 (SC).

3.1-2 Limitation on number of members

A private company is required compulsorily to limit through its articles, the number of members to 200, taking joint holders as single member and also not counting present or past employees who are members.

However, with reference to former employees, for the benefit of the exemption being available to the company, such employees must have been members while they were in employment and continue as members after ceasing to be in employment of the company. Thus, the exemption cannot be claimed by first being enrolled as the member and then inducted as employee.

It has been observed that directors are not considered to be employees of the company. Thus, if they are members of the company, they shall be counted. However, if a director is also employed by the company in another capacity, *for example,* as Works Manager, Sales Manager or as the Company Secretary, he may be treated as employee of the company notwithstanding his directorship. He will not then be counted towards the maximum number of members.

3.1-2a NUMBER OF DEBENTURE HOLDERS MAY EXCEED 200 - It may be noted that it is only the number of members that is limited to 200. Private company may issue debentures to any number of persons, the only condition being that an invitation to the public to subscribe for debentures cannot be made.

3.1-3 Restriction on inviting public to subscribe for securities

The articles of a private company must prohibit an invitation to the public to subscribe for any shares , debentures , or any securities of the company. In practical terms, this requirement shall mean that a private company must not make public issue or publish any advertisement inviting investments or resort to any other method of inviting public investment in its shares, debentures, or any other security. A private company can only collect its capital through a 'private approach'. 'Private approach' shall mean giving opportunity of investment to the persons approached and not to others.

3.1-4 Other requirements relating to a private company :

1. There should be at least two persons to form a private company. As per section 3, for forming a private company, two or more persons are required to subscribe their names to a Memorandum of Association. The subscribers to the Memorandum may, however, be nominees of a single person and subscribing their names may be merely a formality.

   Any person who is competent to contract can be a subscriber. A company being a legal person can subscribe but a partnership firm cannot do so.

   A minor cannot be a signatory to the Memorandum since he is not competent to contract. The guardian of a minor who subscribes to a memorandum on behalf of the minor will be deemed to have subscribed in his personal capacity.

   Again, a Joint Hindu Family, being not a person, cannot be a subscriber. A 'Karta' or manager of the Joint Hindu Family may however sign on its behalf.

In the case of an illiterate subscriber, the thumb impression or mark duly attested by the *person writing* for him may be given.

2. The words 'private limited' or any acceptable abbreviation thereof, such as 'Pvt. Ltd.' must be added at the end of the name of a private limited company.

Can a private company be incorporated with two members, one being a preference shareholder? - A preference shareholder is indeed a member of the company but with a restricted membership rights. While two persons subscribing to the memorandum of association can form a private company, the presumption of the law appears to be that such members should be equity shareholders. A member with restricted voting right *i.e.* a preference shareholder cannot constitute the quorum for a general meeting. The Act has not stated this in so many words in section 103 but erstwhile the Department of Company Affairs had clarified (*vide* Company News and Notes dated 16-6-1964) that unless the agenda of a general meeting contains any matter involving the rights of preference shareholders, the presence of any preference shareholder shall have to be disregarded for the purpose of quorum. In *Bradford Investments Pvt. Ltd.* (1990) BCC 740 (an English case), it has been said that it is not sufficient in a general meeting to be entitled to be present if the member does not have voting rights therein. *Prima facie*, in the context of a general meeting a member would mean a member with voting rights. Section 9 of the Act specifies that on incorporation, a company must be eligible to start all the functions of an incorporated company. Even at the time of holding the first AGM, the preference shareholders would not, in the normal course, be eligible to vote as there would not arise a situation contemplated by section 87 (now section 47) to endow the preference shareholder with full voting rights when preference dividend falls in arrear. Taking an overall view of the provisions of the section, it seems a private company cannot be incorporated with two persons of which one would be a preference shareholder - (*vide* opinion of Shri L.V.V. Iyer on Pages 41-44 of SEBI and Corporate Laws, January 21, 2008).

3.1A Special privileges and exemptions available to private companies*

A private company enjoys certain privileges and exemptions from certain provisions of the Companies Act. The basic reason for granting these privileges and exemptions is that the private companies by restricting their membership to not more than 200 and because of prohibition on public subscription to shares or debentures or deposits do not involve the public money. Hence less public accountability and as such it need not be subject to such rigorous surveillance as a public company is required to be. However, a private company shall lose these privileges and exemptions, where it fails to abide by the restrictive clauses of section 2(*68*), whether directly or indirectly.

The following privileges and exemptions are available to a private company:

1. ***Minimum number of members*** - A minimum of two persons (as against seven persons in the case of public company) may form a private company [Section 3].

*Ministry of Corporate Affairs vide its notification dated 5-6-2015 has exempted private companies from a few more provisions of the Companies Act, 2013. These have been discussed at the appropriate places.

2. ***Minimum number of Directors*** - A private company need not have more than two directors as against minimum three in the case of a public company [Section 149].
3. ***Quorum for general meetings*** - Unless Articles provide for a higher number, quorum required for the general meeting of the shareholders in the case of a private company is 2 members personally present as against 5, 15 or 30 members personally present depending upon the number of members as on the date of meeting being up to 1000, 5000 or more than 5000; in case of a public company (Section 103).
4. ***Managerial Remuneration*** - A private company is exempted from the provisions of section 197 which fixes the overall limit to the managerial remuneration at 11 per cent of net profits. Thus, a private company may remunerate its managerial personnel by such higher percentage of profits, or in any manner, as it may deem fit [Section 197].
5. ***Rotational Retirement of Directors*** - All directors of a private company can be non-rotational directors [Section 152]. However, it does not mean that they cannot be removed throughout their life or life of the company or before the expiry of the period for which they were appointed.
6. ***Filling casual vacancies*** - The provisions relating to manner of filling of casual vacancies among directors and the duration of the period of office of those so appointed do not apply to a private company [Section 161].
7. ***Special disqualifications for appointment as directors*** - A private company may, by its articles of association, provide special disqualifications for appointment of directors in addition to those contained in section 164 (1 & 2) [Section 164(3)].
8. ***Restrictions on number of directorships*** - No person can be a director in more than 10 public companies whereas he can become a director in maximum 20 private companies provided none of those companies is a public company or a holding or subsidiary of a public company [Section 165].
9. **Independent directors** - A private company is exempted from the requirement of appointment of independent director [Section 149].
10. **Audit Committee** - A private company is not required to constitute audit committee of the Board [Section 177].
11. **Voting rights and kinds of share capital** - Under section 43, a private company may issue shares other than equity or preference shares, if so provided in its Memorandum or Articles of Association – *Vide MCA Notification dated 5-6-2015*
12. **Further issue of shares** - In case of rights issue under section 62, as against minimum period of 15 days, a private company may close its offer of rights issue before that. In other words, it need not keep its rights issue open for minimum period of 15 days - *Vide MCA Notification dated 5-6-2015*
13. **ESOPs** - For issue of shares to its employees under Employee's Stock Option Scheme, a private company may pass an ordinary resolution as against special resolution - *Vide MCA Notification dated 5-6-2015*

Additional Privileges and Exemptions[1]

14. **Loan for purchase of its own securities:** A private company may provide loans for purchase of its own shares provided the following conditions are satisfied:
    (*a*) No other body corporate should have invested any money;
    (*b*) Borrowing from banks, FIIs or bodies corporate should be less than double of its paid up capital or Rs. 50 crore, whichever is lower;
    (*c*) The private company should not have defaulted in repayment of borrowings as may be existing on the date of the transaction.
15. **Exemption from filing Board resolutions:** A private company has been exempted from filing resolutions of the Board of directors with the Registrar of Companies.
16. **Loans to directors:** A private company may give a loan or provide guarantee or offer a security in connection with a loan taken by a director provided:
    (*a*) No other body corporate should have invested any money in the lending/guaranteeing company;
    (*b*) Borrowing from banks, financial institutions or bodies corporate should be less than double of its net worth or Rs. 50 crore, whichever is lower;
    (*c*) The lending company should not have defaulted in repayment of borrowings.
17. **Relaxation of ceiling on company audits:** The ceiling of 20 audits under section 141 will not include private companies having a paid-up share capital of less than Rs. 100 crore.
18. **Participation of interested director in Board meeting:** Under section 184, an interested director of a private company can participate in the Board meeting after declaring his interest.
19. **Provisions relating to directors:** Provisions of sections 160, 162 and 180 relating to appointment and restrictions on the powers of directors shall not apply to private companies.
20. **General body meetings:** Provisions of sections 101 to 107 and section 109 relating to general body meetings shall not apply to a private company if Articles of the company provide otherwise.
21. **Deposits from Members:** Private companies have been allowed to accept deposits from members under section 73 up to 100% of it's paid up capital and free reserves provided they inform ROC in the prescribed manner.
22. **Acceptance of deposits from members:** With respect to acceptance of deposits from the members of a company under section 72 of the Act, the conditions applicable to a public company as contained in clauses (*a*) to (*e*) of section 73(2) shall not be applicable to a private company:
    (A) which accepts from its members monies not exceeding one hundred per cent of aggregate of the paid up share capital, free reserves and securities premium account; or

1. Vide MCA Notification No. F.No. 2/11/2014-CL-V dated 5.6.2015 as amended *vide* its Notification dated 13.6.2017.

(B) which is a start-up, for five years from the date of its incorporation; or

(C) which fulfils all of the following conditions, namely:—

(*a*) which is not an associate or a subsidiary company of any other company;

(*b*) if the borrowings of such a company from banks or financial institutions or any body- corporate is less than twice of its paid up share capital or fifty crore rupees, whichever is lower; and

(*c*) such a company has not defaulted in the repayment of such borrowings subsisting at the time of accepting deposits under this section,

However, the company referred to in clause (A), (B) or (C) shall file the details of monies accepted to the Registrar in such manner as may be specified.

23. **Signing of Annual return:** In case of a private company which is a start-up, annual return shall be signed by the director of the company in case the company does not have a company secretary.

24. **Meetings of the Board:** A private company which is a start-up may hold only one meeting of the Board in each half of the calendar year provided the gap between the two meetings is not less than ninety days.

25. **Interested director**: An interested director shall be counted towards the quorum for a Board meeting.

It may be noted that the exemptions listed under 22 to 25 above shall be applicable to a private company which has not committed a default in filing its financial statements under section 137 of the said Act or annual return under section 92 of the said Act with the Registrar.

3.1B One Person Company

The Companies Act, 2013 has, for the first time, allowed formation of a limited liability company by just one person. Such a company is described under section 3(1)(*c*) as a private company. 'One Person Company' is a one shareholder corporate entity, where legal and financial liability is limited to the company only. In India, the J.J. Irani Expert Committee recommended the formation of one-person company (OPC).

The provisions relating to OPC are strewn all across the Companies Act, 2013. Section 2(*62*) of the Companies Act, 2013 defines 'One Person Company' to mean a company with only one person as its member. Section 3(1)(*c*) provides that a company may be formed for any lawful purpose by one person, where the company to be formed is to be One Person Company, that is to say, a private company by subscribing his name to a memorandum and complying with the requirements of the Act in respect of registration.

An OPC may be registered as 'limited by shares' or 'limited by guarantee'.

However, the memorandum of One Person Company shall indicate the name of the other person, with his prior written consent in the prescribed form (Form No. INC.3), who shall, in the event of the subscriber's death or his incapacity to contract become the member of the company and the written consent of such person shall also be filed with the Registrar at the time of incorporation of the One Person Company along with its memorandum and articles.

Such other person may withdraw his consent in such manner as may be prescribed.

On the death of the promoter member of an OPC, the person nominated by such promoter member shall be the person recognised by the company as having title to all the shares of the member and shall be entitled to the same dividends and other rights and liabilities to which such sole promoter member of the company was entitled or liable.

Again, the member of One Person Company may at any time change the name of such other person by giving notice in such manner as may be prescribed. He must, however, intimate the company the change, if any, in the name of the other person nominated by him by indicating in the memorandum or otherwise within such time and in such manner as may be prescribed, and the company shall intimate the Registrar any such change within such time and in such manner as may be prescribed.

The words "One Person Company" shall be mentioned in brackets below the name of such company, wherever its name is printed, affixed or engraved.

Relaxations available to OPCs

Relaxations given to an OPC include:

1. There is no need to prepare a cash-flow statement [Section 2(*40*)].
2. The annual return can be signed by the Director and not necessarily a Company Secretary (Section 92). The Central Government may prescribe an abridged annual return for OPC.
3. There is no necessity for an Annual General Meeting (AGM) to be held (Section 96).
4. Specific provisions related to general meetings and extraordinary general meetings would not apply (Sections 100 to 111).
5. Compliance can be said to have been done if the resolutions are entered in the minutes' book of the company (Section 122).
6. It would suffice if one director signs the audited financial statements (Section 134).
7. Financial statements can be filed within six months from the close of the financial year as against 30 days (Section 137).
8. An OPC need to hold only one meeting of the Board of Directors in each half of a calendar year and the gap between the two meetings should not be less than ninety days (Section 173).

Can a body corporate form an OPC?

As per Singapore law, a Company can be the one person in a One Person Company. So, *for example*, if you have an existing Company where you are a director, you can form a One Person Company *with your Company as the sole director.*

For instance, you have a company called Sudeep Textiles Pvt. Ltd. with you and your friend Nitin as directors. Now you also want to import textiles from Italy for sale in India and want to have a separate entity to do that (for accounting and taxation purposes).

As per Singapore law, you are entitled to form a One Person Company *with Sudeep Textiles Pvt. Ltd. as the sole person in the company.*

However, in India, only a natural person can form 'one person company'.

As per the Rules framed by the Central Government as amended vide MCA Notification dated 1 February, 2021 (effective from 1-4-2021):

- *Only a natural person who is an Indian citizen whether resident in India or not shall be eligible to incorporate a One Person Company or be appointed as a nominee for the sole member of a One Person Company. The term "resident in India" means a person who has stayed in India for a period of not less than 120 days during the immediately preceding 1 financial year* ***(Rule No. 3.1)****.*
- A natural person shall not be member of more than a One Person Company at any point of time and the said person shall not be a nominee of more than a One Person Company ***(Rule 3.2, as amended vide Notification No. G.S.R. 743 dated 27.7.2016)***

  A person can be member in only one OPC.

  Where a natural person, being member in One Person Company becomes a member in another OPC by virtue of his being a nominee in that OPC, then such person shall meet the eligibility criteria of being a member in only one OPC within a period of one hundred and eighty days, i.e., he/she shall withdraw his membership from either of the OPCs within one hundred and eighty days.
- No minor shall become member or nominee of the One Person Company or can hold share with beneficial interest ***(Rule No. 3.4)****.*
- Such company cannot be incorporated or converted into a company under section 8 of the Act ***(Rule No. 3.5)*** *or* carry out Non-Banking Financial Investment activities including investment in securities of any body corporate ***(Rule No. 3.6)****.*
- *Where the paid up share capital of a One Person Company exceeds 50 lakh rupees and its average annual turnover during the relevant period exceeds 2 crore rupees, it shall cease to be entitled to continue as a One Person Company.* ***(Rule No. 3.7)****.*
- **Conversion of One Person Company into a private company or a public company:** *One Person Company can get itself converted into a Private or Public company, other than a company registered under section 8 of the Act (Thus, a one person company cannot convert itself to become an 'association not for profit') after increasing the minimum number of members and directors to 2 or minimum of 7 members and 3 directors as the case may be, and by maintaining the minimum paid-up capital as per requirements of the Act for such class of company and by making due compliance of section 18 of the Act for conversion* i.e. *conversion of companies already registered* ***(Rule No. 6)******. The company shall file an application in the prescribed Form for its conversion into Private or Public Company, other than under section 8 of the Act, along with fees as provided in the Companies (Registration Offices and Fees) Rules, 2014 by attaching documents, namely: -

  (*a*) Altered MOA and AOA;

  (*b*) copy of resolution;

  (*c*) the list of proposed members and its directors along with consent;

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*Amended *vide* Companies (Incorporation) Second Amendment Rules, G.S.R. 91(E), dated 1 February 2021.

(*d*) list of creditors; and

(*e*) the latest audited balance sheet and profit and loss account.

On being satisfied that the requirements stated herein have been complied with, the Registrar shall approve the form and issue the Certificate.

- **Conversion of a private company into a One Person Company:** A private company other than a company registered under Section 8 of the Act (i.e. non-profit association) having paid up share capital of Rs. 50 lakhs or less and average annual turnover during the relevant period is Rs. 2 crore or less may convert itself into a One Person Company by passing a special resolution in the general meeting (Rule 8, as amended by the Companies (Incorporation) Amendment Rules, 2015).
- **Penalty:** If a One Person Company or any officer of such company contravenes any of the provisions of these rules, the One Person Company or any officer of such company shall be punishable with fine which may extend to Rs. 5,000 and with a further fine which may extend to Rs. 500 for every day after the first offence during which such contravention continues [2](Rule No. 7A).

3.1C Small Company

The concept of Small Company has also been introduced for the first time in the Companies Act, 2013. According to section 2(*85*) of the Companies Act, 2013, as amended by the (Amendment) Act, 2017, "small company" means a company, other than a public company,—

(*i*) paid-up share capital of which does not exceed two crore rupees*; and**

(*ii*) turnover of which as per its profit and loss account for the immediately preceding financial year does not exceed twenty crore rupees***:

The limit of paid up capital and turnover have been increased from fifty lakhs rupees and two crore rupees with effect from April 1, 2021.$

However, the expression 'small company' shall not include:

(*a*) a holding company or a subsidiary company;

(*b*) non-profit association (*i.e.*, companies registered under section 8 of the Companies Act, 2013);

(*c*) a company or body corporate governed by any special Act.

You should note that 'one person company' or 'small company' cannot be formed for non-economic objectives, *i.e.*, as a non-profit association.

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2. Penalty provision has been introduced vide the Companies (Incorporation) Amendment Rules, 2015 dated 1.5.2015.

*[or such higher amount as may be prescribed which shall not be more than ten crore rupees.]

**Word 'or' has been substituted by the word 'and' - *vide* S.O. 504(E) dated 13-2-2015 issued by MCA.

***or such higher amount as may be prescribed which shall not be more than one hundred crore rupees. "Turnover" means the gross amount of revenue recognised in the profit and loss account from the sale, supply, or distribution of goods or on account of services rendered, or both, by a company during a financial year - Inserted by the Companies (Amendment) Act, 2017.

$ Vide Companies (Specification of Definition Details) Amendment Rules, 2021, Notification No. G.S.R. 92(E), dated February 1, 2021

3.2 Public company [Section 2(71)]

Section 2(*71*) of the Companies Act, 2013, as amended by the Companies (Amendment) Act, 2015 defines a *public company* to mean a company which is not a private company and has a minimum paid-up share capital, as may be prescribed†.

A company which is a subsidiary of a company, not being a private company, shall be deemed to be public company for the purposes of this Act even where such subsidiary company continues to be a private company in its articles.

3.3 Distinction between private and public company

Following are the main points of distinction between a private company and a public company:

1. ***Minimum Number of Members*** **[Section 3]:** In the case of a private company minimum number of persons to form a company is two while it is seven in the case of a public company.
2. ***Maximum Number of Members*:** In case of private company the maximum number must not exceed two hundred whereas there is no such restriction on the maximum number of members in the case of a public company.
3. ***Transferability of Shares*** **[Section 44]**: As per section 44, the shares of any member in a company shall be movable property transferable in the manner provided by the articles of the company. In a private company, by its very definition, articles of a private company have to contain restrictions on transferability of shares.
4. ***Prospectus*** **[Section 2(68)]:** A private company cannot issue a prospectus, while a public company may, through prospectus; invite the general public to subscribe for its securities.
5. ***Minimum number of Directors*** **[Section 149]**: A private company must have at least two directors, whereas a public company must have at least three directors.
6. ***Retirement of Directors*** **[Section 152]**: Directors of a private company are not required to retire by rotation, but in case of a public company at least 2/3rds of the directors must be such whose period of office is subject to retirement by rotation.
7. ***Quorum for General Meetings*** **[Section 103]**: Unless the articles of the company provide for a larger number, ***in case of a public company***, the quorum shall be —

   (*i*) five members personally present if the number of members as on the date of meeting is not more than one thousand;

   (*ii*) fifteen members personally present if the number of members as on the date of meeting is more than one thousand but up to five thousand;

   (*iii*) thirty members personally present if the number of members as on the date of the meeting exceeds five thousand;

   In the case of a private company, unless articles provide for a higher number, two members personally present, shall be the quorum for a meeting of the company.

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†Minimum paid-up share capital requirement of Rs. 5 lakh has been omitted *vide* the Companies (Amendment) Act, 2015, w.e.f. 29-5-2015.

8. ***Managerial Remuneration* [Section 197]**: In a private company, there are no restrictions on managerial remuneration, but in the case of a public company total managerial remuneration cannot exceed 11 per cent of the net profits. The remuneration payable to each managing/whole time director or manager cannot exceed 5 per cent of the net profits unless approval of the Central Government has been taken. Likewise, there are restrictions on the remuneration payable to ordinary directors also.
9. ***Public Deposits*:** A public company is free to accept deposits from the public (subject, however, to the provisions of section 76). A private company cannot accept deposits from the public.

3.4 Conversion of a private company into a public company

As per section 14, the following steps shall be necessary for conversion of a private company into a public company:

1. **Special Resolution:** A private company may convert itself into a public company by amending its Articles of association. Section 14 of the Companies Act, 2013, in this regard, provides that a private company can amend its Articles for the purpose by passing a special resolution. Thus, where a special resolution is passed thereby deleting the statutory requirements as laid down in section 2(*68*) of the Act which make a company a private company, a private company can become a public company. So, where Articles of a private company are amended to raise its membership beyond 200; or permitting free transferability of shares; or to extend invitation to public to subscribe to its shares or debentures or any other security, it becomes a public company with effect from the date of such alteration. As a consequence, the company shall cease to enjoy the privileges and exemptions conferred on a private company and the provisions of the Companies Act shall apply to it as if it were a public company.
2. **Increase in membership**: If the number of members is less than seven, it must be raised to not less than seven [Section 3].
3. ***Increase in number of directors:*** If the number of directors is less than three, it must be raised to not less than three [Section 149].
4. **Filing of Altered Articles:** Every alteration of the articles under this section shall be filed with the Registrar in *Form No. INC.27*, together with a printed copy of the altered articles, within a period of fifteen days in such manner as may be prescribed, who shall register the same.
5. **Alteration to be noted in every copy:** Every alteration made in the articles of a company shall be noted in every copy of the articles [Section 15(1)].

If default is made in complying with the aforesaid provision, the company, and every officer of the company who is in default, shall be punishable with fine, which may extend to one thousand rupees for every copy of the articles issued without such alteration [Section 15(2)].

Where by passing resolutions a final decision had been taken by the company to convert itself into a public company with immediate effect; prescribed Form had been filed along with said resolutions, Supreme Court held that it was sufficient for the purpose of arriving at a *prima facie* conclusion that the company had altered its status and had become a public company even though the necessary alterations had not been effected in the records of the Registrar of Companies - *Ram Purshotam Mittal* v. *Hillcrest Realty Sdn. Bhd.* [2009].

3.5 Conversion of a public company into a private company

For conversion of a public company into a private company, section 14 of the Companies Act, 2013 provides as follows:

(*i*) **Passing of a Special Resolution:** Special resolution at a general meeting of shareholders should be passed authorising the conversion of public company into a private company and altering the articles so as to contain the matters specified in section 2(*68*), namely the three restrictive clauses providing for limiting the total number of members to 200; restricting free transferability of shares and prohibiting invitation to public for subscription of its shares, debentures or any other security.

As per the Companies (Incorporation) Fourth Amendment Rules, 2018, effective from 18.12.2018, an application for the conversion of a public company into a private company, shall, within sixty days from the date of passing of special resolution, be filed with Regional Director in e-Form No. RD-1 along with the prescribed fee and shall be accompanied by the following documents, namely:-

(*a*) a draft copy of Memorandum of Association and Articles of Association, with proposed alterations;

(*b*) a copy of the minutes of the general meeting at which the special resolution authorising such alteration was passed together with details of votes cast in favour and or against with names of dissenters;

(*c*) a copy of Board resolution or Power of Attorney dated not earlier than thirty days, as the case may be, authorising to file application for such conversion;

(*d*) declaration by a key managerial personnel that pursuant to the provisions of sub-section (68) of section 2, the company limits the number of its members to two hundred and also stating that no deposit has been accepted by the company in violation of the Act and rules made thereunder;

(*e*) declaration by a key managerial personnel that there has been no non-compliance of sections 73 to 76A, 177, 178, 185,186 and 188 of the Act and rules made thereunder;

(*f*) declaration by a key managerial personnel that no resolution is pending to be filed in terms of sub-section (3) of section 179 and also stating that the company was never listed in any of the Regional Stock Exchanges and if was so listed, all necessary procedures were complied with in full for complete delisting of the shares in accordance with the applicable rules and regulations laid down by Securities and Exchange Board of India:

Provided that in case of such companies where no key managerial personnel is required to be appointed, the aforesaid declarations shall be filed by any of the director.

(*ii*) **Changing the name of the company**: Company's name ought to be changed by, adding the word 'Private' before the word Limited. As per section 13, it does not require special resolution to be passed.

(*iii*) **Obtaining the approval of the Central Government***: Second proviso to section 14(1), as amended by the Companies (Second Amendment) Ordinance, 2019, provides that no alteration made in the articles which has the effect of converting a public company into a private company shall have effect unless such alteration has been approved by the Central Government* which shall make such order as it may deem fit.

According to sub-rule (5) of rule 41 of the Company (Incorporation) Rules, 2014, as amended by Notification dated 25 January, 2021, the company shall, at least twenty-one days before the date of filing of the application-

(*a*) advertise in the **Form No. INC. 25A**, in a vernacular newspaper in the principal vernacular language in the district and in English language in an English newspaper, widely circulated in the State in which the registered office of the company is situated;

(*b*) serve, by registered post with acknowledgement due, individual notice on each debenture holder and creditor of the company; and

(*c*) serve, by registered post with acknowledgement due, a notice to the Regional Director and Registrar and to the regulatory body, if the company is regulated under any law for the time being in force.

Sub-rule (6) provides that:

(*a*) Where no objection has been received from any person in response to the advertisement or notice referred to in sub-rule (5) and the application is complete in all respects, the same may be put up for orders without hearing and the concerned Regional Director shall pass an order approving the application within thirty days from the date of receipt of the application.

(*b*) Where the Regional Director on examining the application finds it necessary to call for further information or finds such application to be defective or incomplete in any respect, he shall within thirty days from the date of receipt of the application, give intimation of such information called for or defects or incompleteness, on the last intimated e-mail address of the person or the company, which has filed such application, directing the person or the company to furnish such information, to

*Power was earlier vested in the Tribunal.

rectify defects or incompleteness and to re-submit such application within a period of fifteen days in **e-Form No. RD-GNL-5**:

Provided that maximum of two re-submissions shall be allowed.

(*c*) In cases where such further information called for has not been provided or the defects or incompleteness has not been rectified to the satisfaction of the Regional Director within the period allowed under clause (*b*), the Regional Director shall reject the application with reasons within thirty days from the date of filing application or within thirty days from the date of last re-submission made, as the case may be.

Where an objection has been received or Regional Director on examining the application has specific objection under the provisions of the Act, the same shall be recorded in writing and the Regional Director shall hold a hearing or hearings within a period of thirty days as required and direct the company to file an affidavit to record the consensus reached at the hearing, upon executing which, the Regional Director shall pass an order either approving or rejecting the application along with the reasons within thirty days from the date of hearing [Sub-rule (7)].

In case where no consensus is received as referred in clause (*i*), the Regional Director may approve the conversion, if he is satisfied having regard to all the circumstances of the case, that the conversion would not be against the interests of the company or is not being made with a view to contravene or to avoid complying with the provisions of the Act, with reasons to be recorded in writing:

Provided that the conversion shall not be allowed if any inquiry, inspection or investigation has been initiated against the company or any prosecution is pending against the company under the Act.

On completion of such inquiry, inspection or investigation as a consequence of which no prosecution is envisaged or no prosecution is pending, conversion shall be allowed.

The order conveyed by the Regional Director shall be filed by the company with the Registrar in **Form No. INC-28** within fifteen days from the date of receipt of approval along with fee as provided in the Companies (Registration Offices and Fees) Rules, 2014.

Where conversion of a public company into private company with a view to comply efficiently with provisions of Companies Act was not prejudicial either to its members or to creditors and provisions of section 14, read with rule 68 of NCLT Rules were complied with, said conversion was to be allowed - *Diana Buildwell Ltd., In re* [2017] 79 taxmann.com 300 (NCLT - Mum.)

Again, in *Greensignal Bio Pharma Ltd., In re* [2018] 89 taxmann.com 174 (NCLT - Chennai), Board of directors of a petitioner-company, which was a public company had passed a resolution approving its conversion to private limited company. Members of company had also approved said conversion by passing special resolution in its Extraordinary General Meeting.

39402

Held that since petitioner-company had complied with all statutory provision of section 14 and conversion from public to private was in interest of a company which was being made with a view to streamline its corporate compliances and to increase efficiency in its functioning, causing no prejudice either to its members or to creditors, conversion was to be allowed.

In *Hetro Spinners Ltd.* v. *Registrar of Companies, Petitioner* company was incorporated as Public Limited Company. In Extraordinary General Meeting, shareholders holding 80.53 per cent shares voted in favour of resolution proposing for conversion of company from public to a private company. Petitioner-company stated that by proposed conversion, company would not change its liabilities and obligations towards anybody - ROC had submitted that company was up to date in filing its returns and proposed conversion was found to be in interest of petitioner-company and stakeholders and no one would be prejudiced. Held, instant petition for approving conversion of company was to be admitted.

Case Law: *Manorama Industrial & Technical Services Ltd., In re* [2018] 99 taxmann.com 141 (NCLT - Kolkata)[3]

Facts of the Case:

Petitioner-company, through Extraordinary General Meeting passed special resolution for conversion of its status of 'Public Limited Company' into 'Private Limited Company.' Special resolution was passed with unanimous approval of shareholders and Board of Directors of company. E-Form MGT-14 relating to conversion was filed and neither RoC nor any other member or creditor of company objected to proposed conversion.

Decision:

Held that, since all requisite statutory compliance had been fulfilled, conversion of status of company was to be approved.

Again, in AKF invest Ltd., *In re* [2019] 104 taxmann.com 24 (NCLT - Kolkata)

Petitioner was an unlisted public company engaged in providing financial and other related services and was registered with RBI as a non-banking financial company. With an aim to carry on business more economically, efficiently, conveniently, Board of Directors of the petitioner-company passed a resolution approving its conversion to private limited company. Members of petitioner-company had also approved said conversion by passing special resolution in its Extraordinary General Meeting - Petitioner thereupon filed the petition under section 14(1) seeking approval of Tribunal for conversion of its status from public to a private limited company. It was noted from records that petitioner-company did not receive any objection either from its members creditors or from any persons with regard to proposed change in status of company. Moreover, RoC and RBI had also accorded

3. Also see, TITEC Ltd., *In re* [2018] 98 taxmann.com 300 (NCLT - Kolkata); Enlightened Projects Ltd., *In re* [2018] 98 taxmann.com 423 (NCLT - Kolkata)

their no objection to change of conversion of company from public limited to private limited. Further, petitioner-company had complied with all statutory provision of section 14 and said conversion would not cause any prejudice either to its members or to creditors.

The Kolkata Bench of NCLT held that since, no objection was received from its members, creditors, RBI or any other person with regard to proposed change, instant petition was to be allowed.

Further, in **Enlightened Projects Ltd., *In re* [2018] 98 taxmann.com 423 (NCLT - Kolkata),** Board of Directors of a petitioner-company, which was a public company had passed a resolution approving its conversion to private limited company. Members of petitioner-company had also approved said conversion by passing special resolution in its Extraordinary General Meeting. It was found that neither there was any investor complaint against company nor any prosecution proceedings was pending against company and its directors. Also, no technical scrutiny/ inspection had been initiated against company. Further, proposed conversion would help company to eliminate and streamline its corporate compliances and increase efficiency in functioning and Proposed conversion would not prejudice rights or interest of any member, creditors and would not affect any debts, liabilities, obligations or contracts incurred or entered into, by or on behalf of petitioner company. Held that instant petition for proposed conversion of company should be allowed.

Again, in **Sri Narasimha Cotton Press Co. Ltd. *v.* Registrar of Companies, Andhra Pradesh [2019] 109 taxmann.com 6 (NCLT - Hyd.),** where petitioner passed a resolution for conversion of Public Limited Company into Private Limited Company, in view of fact that petitioner company had no secured and unsecured creditors and, moreover, notice of conversion had been given in local newspapers but no objection was received from any party, petition seeking approval of Tribunal for conversion of company from Public Limited to Private Limited Company, was allowed.

(*iv*) **Filing with the Registrar:** Every alteration of the articles and a copy of the order of the Tribunal approving the alteration as per sub-section (1) shall be filed with the Registrar, together with a printed copy of the altered articles, within a period of 15 days from the date of the receipt of the order from the Tribunal in the prescribed manner and the Registrar shall register the same [Section 14(2)]**.

3.6 Statutory company

Bodies with special types of objects which it has been thought desirable to encourage may be formed under general public Acts such as the Friendly Societies, the Industrial and Provident Societies and the Building Societies Acts in the United Kingdom. In our country also, similar legislations exist like the Life Insurance

**Section 14(2) has been made effective from 1-6-2016.

Corporation Act, Reserve Bank of India Act, Insurance Act. These bodies or bodies covered by these Acts do not necessarily require to have a memorandum of association.

Each statutory company is governed by the provisions of its special Act. However, the provisions of the Companies Act, 2013 apply to them, insofar as the same are not inconsistent with the special Acts under which these companies are formed [Sec. 1(4)].

3.7 Registered companies

A company registered under the Companies Act is known as a registered company. Registered companies can be incorporated as limited liability companies or as unlimited liability companies. Further, they may be incorporated as public companies or as private companies.

Having already discussed in detail about the 'private' companies in the foregoing paragraphs, we shall now discuss about the limited liability companies and the unlimited liability companies.

3.8 Limited liability companies

The discussion on limited liability companies may be divided under the following three heads :—

(*i*) Companies limited by shares;

(*ii*) Companies limited by guarantee;

(*iii*) Companies limited by guarantee having share capital.

3.8-1 Companies limited by shares

A company having the liability of its members limited by the memorandum, to the amount, if any, unpaid on the shares respectively held by them is termed "a company limited by shares" [Section 4(1)(*d*)(*i*)]. Such a company is commonly called limited liability company although the liability of the company is never limited, it is the liability of its members which is limited. The liability of members can be enforced at any time during the existence and also during the winding-up of the company. Such a company must have share capital as the extent of liability is determined by the face value of shares. However, except where the articles otherwise provide, there is no liability to pay any balance amount due on the shares, except in pursuance of calls duly made in accordance with law and the articles while the company is a going concern or of calls made in the event of winding-up of the company.

3.8-2 Companies limited by guarantee

A company limited by guarantee may be defined as a company having liability of its members limited by the memorandum to such amount as the members may respectively undertake to contribute:

(*A*) to the assets of the company in the event of its being wound-up while he is a member or within one year after he ceases to be a member, for payment of the debts and liabilities of the company or of such debts and liabilities as may have been contracted before he ceases to be a member, as the case may be; and

(*B*) to the costs, charges and expenses of winding-up and for adjustment of the rights of the contributories among themselves [Section 4(1)(*d*)(*ii*)].

3.8-3 Companies limited by guarantee having share capital

The liability of a member of a guarantee company having share capital is not merely limited to the amount as stated above in respect of guarantee companies not having share capital; he may be called upon to also contribute to the extent of any sums remaining unpaid on the shares held by him [Sec. 285].

3.8-4 Conversion of a company limited by guarantee into a company limited by shares

Rule 39, added by the Companies (Incorporation) Fourth Amendment Rules, 2016, has detailed the procedure for conversion of a company limited by guarantee into a company limited by shares as follows:—

(1) A company other than a company registered under section 25 of the Companies Act, 1956 or section 8 of the Companies Act, 2013 may convert itself into a company limited by shares.

(2) The company seeking conversion shall have a share capital equivalent to the guarantee amount.

(3) A special resolution is passed by its members authorising such a conversion omitting the guarantee clause in its Memorandum of Association and altering the Articles of Association to provide for the articles as are applicable for a company limited by shares.

(4) A copy of the special resolution shall be filed with the Registrar of Companies in Form No. MGT-14 within thirty days from the date of passing of the same along with fee as prescribed in the Companies (Registration Offices and Fees) Rules, 2014.

(5) An application in Form No. INC-27 shall be filed with the Registrar of Companies within thirty days from date of the passing of the special resolution enclosing the altered Memorandum of Association and altered Articles of Association and a list of members with the number of shares held aggregating to a minimum paid up capital which is equivalent to the amount of guarantee hither to provided by its members.

(6) The Registrar of Companies shall take a decision on the application filed under these rules within thirty days from the date of receipt of application complete in all respects and upon approval of Form No. INC-27.

The company shall be issued with a certificate of incorporation in Form No. INC-11B.

3.9 Unlimited liability company

A company having no limit on the liability of its members is an unlimited company. Section 3(2) of the Companies Act, 2013 allows a company to be formed as an unlimited company. Thus, in the case of an unlimited liability company, the liability of each member extends to the whole amount of the company's debts and liabilities. It may be seen that the liability of members of an unlimited company is similar to that of the partners but unlike the liability of partners, the members of the company cannot be directly proceeded against. Company being a separate legal entity, the claims can be enforced only against the company. Thus, creditors shall have to institute proceedings for winding-up of the company for their claims. But, the Official Liquidator may call upon the members to discharge the debts and liabilities without limit.

An unlimited company may or may not have share capital.

An unlimited company is not subjected to any restrictions regarding purchase of its own shares [Sec. 67]. Accordingly, such a company may purchase its own shares or advance monies to any person to purchase its shares.

Conversion of unlimited liability company into limited liability company.

Under section 18, a company registered as an unlimited company may subsequently convert itself into a limited liability company, subject to the provision that any debt, liabilities, applications or contracts in regard to or entered into, by or on behalf of the unlimited liability company before such conversion are not affected by such conversion.

Further, section 65 of the Companies Act, 2013 provides that an unlimited company having a share capital may, by a resolution for registration as a limited company under this Act, do either or both of the following things, namely—

(*a*) increase the nominal amount of its share capital by increasing the nominal amount of each of its shares, subject to the condition that no part of the increased capital shall be capable of being called up except in the event and for the purposes of the company being wound up;

(*b*) provide that a specified portion of its uncalled share capital shall not be capable of being called up except in the event and for the purposes of the company being wound up.

You may note here that whereas, the concept of 'Reserve Capital' has been done away with regarding limited liability companies; it still finds a place with respect to unlimited companies.

Procedure for conversion of unlimited liability company into a limited liability company by shares or guarantee (Rule 37 of the Companies (Incorporation) Rules, 2014 inserted by the Companies (Incorporation) Third Amendment Rules, 2016, dated 27.7.2014:

1. After passing the special resolution in a general meeting, file an application in Form No. INC-27 in the prescribed manner.

2. Within seven days from the date of passing of the special resolution in a general meeting, publish a notice, in Form No. INC-27A of such proposed conversion in two newspapers (one in English and one in vernacular language) in the district in which the registered office of the company is situate.
3. Also place the notice on the website of the Company, if any, indicating clearly the proposal of conversion of the company into a company limited by shares or guarantee, and seeking objections if any, from the persons interested in its affairs to such conversion.
4. Cause a copy of such notice to be dispatched to its creditors and debentures holders by registered post or by speed post or through courier with proof of dispatch. The notice shall also state that the objections, if any, may be intimated to the Registrar and to the company within twenty-one days of the date of publication of the notice, duly indicating nature of interest and grounds of opposition.
5. Within forty five days of passing of the special resolution file an application as prescribed in sub-rule (1) for its conversion into a company limited by shares or guarantee along with the fees as provided in the Companies (Registration Offices and Fees) Rules, 2014, by attaching the prescribed documents.
6. File a Declaration signed by not less than two Directors including Managing Director, where there is one, that no complaints are pending against the company from the members or investors and no inquiry, inspection or investigation is pending against the company or its Directors or officers.
7. The Registrar shall, after considering the application and objections if any, received by the Registrar and after ensuring that the company has satisfactorily addressed the objections received by the company, suitably decide whether the approval for conversion should or should not be granted.
8. The certificate of incorporation consequent to conversion of unlimited liability company to into a company limited by shares or guarantee shall be issued to the company upon grant of approval for conversion.

Conditions to be complied with, subsequent to conversion

(1) Company shall not change its name for a period of one year from the date of such conversion.

(2) The company shall not declare or distribute any dividend without satisfying past debts, liabilities, obligations or contracts incurred or entered into before conversion.

Explanation: For the purpose of this clause, past debts, liabilities, obligations or contracts does not include secured debts due to banks and financial institutions.

An Unlimited Liability Company shall not be eligible for conversion into a company limited by shares or guarantee in case-

(*a*) its net worth is negative, or

(*b*) an application is pending under the provisions of the Companies Act, 1956 or the Companies Act, 2013 for striking off its name, or

(*c*) the company is in default of any of its Annual Returns or financial statements under the provisions of the Companies Act, 1956 or the Companies Act, 2013, or

(*d*) a petition for winding up is pending against the company, or

(*e*) the company has not received amount due on calls in arrears, from its directors, for a period of not less than six months from the due date, or

(*f*) an inquiry, inspection or investigation is pending against the company.

The Registrar of Companies shall take a decision on the application filed under these rules within thirty days from the date of receipt of application complete in all respects.

3.10 Associations not for profit [Section 8]

An "Association not for profit" is an association which is formed not for making profits but for the promotion of commerce, art, science, sports, education, research, social welfare, religion, charity, protection of environment or any such other object. Such an association may or may not be registered as a company under the Companies Act. When such an association is registered as a company with limited liability, it may be given a licence by the Central Government.

As per section 8, the Central Government may grant such a licence if it is proved to the satisfaction of the Central Government that a person[4] or an association of persons proposed to be registered under this Act as a limited company—

(*i*) has in its objects the promotion of commerce, art, science, sports, education, research, social welfare, religion, charity, protection of environment or any such other object;

(*ii*) intends to apply its profits, if any, or other income in promoting its objects; and

(*iii*) intends to prohibit payment of any dividend to its members.

When the above conditions are fulfilled, the Central Government may, by licence, direct that the person or association may be registered as a company with limited liability without the addition to its name of the word "Limited" or the words "Private Limited".

The licence may be granted by the Central Government on such conditions and subject to such regulations, as it thinks fit and such conditions and regulations shall be binding on the company to which licence is granted. *Examples of companies registered under section 25 (now section 8) include* Mohan Bagan Club, Gymkhana Club, Delhi District Cricket Association (D.D.C.A.) etc.

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4. You may note that under section 8, the use of the word 'person' appears to allow even a single person to form a company for the objects specified. However, **Rule 3(5) of the Companies (Incorporation) Rules, 2014** categorically provides that One Person Company cannot be incorporated or converted into a company under section 8 of the Act. Likewise, as per section 2(85), a small company cannot be incorporated or converted into a section 8 company.

Consequences for contravention of requirements of section 8/Licence

The Central Government may revoke the licence granted to a company registered under section 8:

- If the company contravenes any of the requirements of section 8 or any of the conditions subject to which the licence was issued; or
- the affairs of the company are conducted fraudulently or in a manner violative of the objects of the company or prejudicial to public interest.

Further, the Central Government may direct the company to convert its status and change its name to add the word "Limited" or the words "Private Limited", as the case may be, to its name.

A copy of the order of the Central Government, as above, must be given to the Registrar.

Consequences that follow on revocation of licence under section 8

Where a licence is revoked, as above, the Central Government after giving a reasonable opportunity of being heard, may, if it is satisfied that it is essential in the public interest, direct that the company be wound up or amalgamated with another company registered under section 8 and having similar objects.

If on the winding up or dissolution of such a company, there remains, after the satisfaction of its debts and liabilities, any assets, they may be transferred to another company registered under section 8 and having similar objects, subject to such conditions as the Tribunal may impose, or may be sold and proceeds thereof credited to the Rehabilitation and Insolvency Fund formed under section 269.

If a company makes any default in complying with any of the requirements laid down in section 8, the company shall be punishable with fine which shall not be less than ten lakh rupees but which may extend to one crore rupees and the directors and every officer of the company who is in default shall be punishable with imprisonment for a term which may extend to three years or with fine which shall not be less than twenty-five thousand rupees but which may extend to twenty-five lakh rupees, or with both:

Further, where it is proved that the affairs of the company were conducted fraudulently, every officer in default shall be liable for action under section 447[5].

3.10-1 Alteration of Memorandum and Articles of Association

Such an association shall not alter the provisions of its memorandum or articles except with the previous approval of the Central Government.

Where petitioner filed a writ petition contending that 'G' Club being a company governed by section 8, its MOA and AOA could not be altered under section 8(4)(*i*) without prior approval of Central Government, it was to be concluded that once EGM passed such a resolution, final MOA and AOA would become available to 'G' Club and Club would then have to submit same for approval to Ministry of

5. As per section 447 any person who is found to be guilty of fraud, shall be punishable with imprisonment for a term which shall not be less than six months but which may extend to ten years and shall also be liable to fine which shall not be less than the amount involved in the fraud, but which may extend to three times the amount involved in the fraud. However, where the fraud in question involves public interest, the term of imprisonment shall not be less than three years.

Corporate Affairs under section 8(4) - **Sanjeev Mohan Ahluwalia *v.* Union of India [2020] 114 taxmann.com 45 (Delhi)**

3.10-2 Partnership Firm may become Member

It may be noted that a partnership firm may become a member of such a company. However, on dissolution of the firm, its membership will come to an end [Section 8(3)].

3.10-3 Conversion of a company formed under section 8 into any other kind

A company registered under section 8 which intends to convert itself into a company of any other kind may do so by passing a special resolution at a general meeting for approving such conversion and also complying with the prescribed procedure *[Rule 21 of the Companies (Incorporation) Rules, 2014].*

However, an OPC cannot be incorporated or converted into a company under section 8 of the Act.

3.10-4 Exemptions

Ministry of Corporate Affairs, *vide* its Notification dated 5-6-2015 has notified, *inter alia,* the following exemptions for section 8 companies:

1. Appointment of a qualified company secretary shall not be mandatory.
2. Such a company may hold its AGM before or after business hours, or on a National holiday or at a place other than its registered office provided that the time, date and place of each AGM are decided before hand by the Board of directors having regard to the directions, if any, given in this regard by the company in its general meeting.
3. A general meeting of a section 8 company may be held by giving 14 days notice instead of 21 days.
4. Provisions of section 118 with respect to recording of minutes shall not apply to section 8 company except that minutes may be recorded within 30 days of the conclusion of every meeting in case of companies where the Articles of association provide for confirmation of minutes.
5. Provisions of section 149 relating to appointment of minimum and maximum number of directors shall not apply to such company.
6. Provisions of sections 149 and 150 relating to appointment of independent directors on the Board shall not apply.
7. Provision relating to consent of the director to act in that capacity required to be filed with RoC within 30 days of the appointment, as required under section 152(5), shall not be applicable.
8. A section 8 company needs to hold at least two meetings of the Board, one in every six months instead of four meetings.
9. Quorum for Board meetings shall be either 8 members or 25% of its total strength, whichever is less provided it is not less than 2 as against 1/3rd of the total strength or two directors, whichever is higher.
10. The power of the Board of directors to borrow monies or to invest the funds of the company or to grant loan or give guarantee or provide security in

respect of loans may be exercised by the Board by circulation instead of at a meeting.

11. The maximum limit of 20 directorships shall not apply to section 8 companies.

3.11 Government companies

Section 2(*45*) defines a Government company to mean any company in which not less than 51% of the paid-up share capital* is held by :—

(*i*) the Central Government; or

(*ii*) any State Government or governments; or

(*iii*) partly by the Central Government and partly by one or more State Governments.

A subsidiary of a Government company shall also be treated as a Government company.

As per the definition of section 2(*45*) a Government company denotes 'any company' and the term 'company' in the Act, means a company as defined in section 2(*20*) of the Act, according to which a company is the one formed and registered under the *Companies Act, 2013* or under any previous company law. A statutory corporation formed under a statute of the Legislature, like Life Insurance Corporation, is not a 'company' under the *Companies Act, 2013 or* under any previous company law and as such is not a Government company. These are corporations as distinguished from Government companies and are incorporated under separate Acts of the Parliament.

Legal status of a Government company - There has been a catena of cases right from *Salomon* v. *A Salomon & Co. Ltd.* [1897] AC 22, which has established that a company brought into being under the Companies Act has a separate existence and the law recognises a company as *a juristic person separate and distinct from its members.* This personification emerges from the moment of its incorporation, and from that date, the persons subscribing to its memorandum of association and others joining it as members are regarded as a body incorporated or a corporate aggregate and the new person begins to function as an entity. The rights and obligations of a company are distinct from those of its shareholders. Therefore, *the legal status of a Government company is not affected just because the share capital of the company is contributed by the Central Government and all its shares are held by the President of India or the Governor of a State and certain nominated officers of the Government.* [*Heavy Engineering Mazdoor Union* v. *State of Bihar* [1969] 39 Comp. Cas. 905 (SC)]. The observations reproduced below of Justice P.L. Mukherjee *In re, River Steam Navigation Co. Ltd.* [1967] 2 Comp. LJ 106, bring out clearly the legal position of a Government company:

> "Government today is a competitor with public/private companies and corporations, and doing trade or business or commerce. In doing so the Government is not doing it *qua* Government. It joins the field of competition in these diverse spheres and fields as Government companies, as State trading corporations and in many other forms under particular statutes."

*"paid-up share capital" shall be construed as "total voting power", where shares with differential voting rights have been issued - *Vide* Notification dated 3 March, 2020.

The consensus seems to be that when the Government engages itself in trading ventures, particularly as Government companies under the company law, it does not do so as a political State or political Government, but it does so in the garb and essence as a company. A Government company is not a department of the Government. In *Andhra Pradesh State Road Transport Corporation* v. *ITO* AIR 1964 SC 1486, the Andhra Pradesh Road Transport Corporation claimed exemption from taxation by invoking Article 289 of the Constitution of India according to which the property and income of the State are exempted from the Union taxation. The Supreme Court, while rejecting the Corporation's claim, held that though it was wholly controlled by the State Government, it had a separate entity and its income was not the income of the State Government. Similarly, in *Western Coalfields Limited* v. *Special Area Development Authority* AIR 1982 SC 696, the Supreme Court did not uphold the contention of the Western Coalfields Ltd. and Bharat Aluminium Company Ltd. (the petitioners) that they were wholly owned by the Government of India and so the companies could not be subjected to property tax. The Chief Justice of India, Shri Chandrachud, observed as follows :

> "Even though the entire share capital of the appellant companies has been subscribed by the Government of India, it cannot be predicated that the companies themselves are owned by the Government of India. The companies which are incorporated under the Companies Act have a corporate personality of their own, distinct from that of the Government of India. The land and buildings are vested in and owned by the companies; the Government of India only owns the share capital."

On the rationale of the aforesaid judgments, in *Hindustan Steel Works Construction Co. Ltd.* v. *State of Kerala* [1998] 2 CLJ 383, it was held that notwithstanding all the pervasive control of the Government, company is neither a Government department nor a Government establishment. It is just an instrumentality or agency of the Government, and hence not exempt from the purview of Kerala Construction Workers Welfare Fund Act. However, where more than 97 per cent of the share capital of the company has been contributed by the State Government and the financial institutions controlled and belonging to the Government of India on the security and undertaking of the State Government, that the memorandum of association entrusted the company with important public duties, that out of 12 directors 5 were Government and departmental persons, besides other elected directors also were to be with the concurrence and nomination of the Government, it was clear that the State Government had deep and pervasive control of the company and its day-to-day administration, and the company was nothing but an instrumentality and agency of the State Government and the physical form of company was merely a cloak or cover for the Government - *Mysore Paper Mills Ltd.* v. *Mysore Paper Mills Officer's Association* [2002] 37 SCL 742 (SC).

Again, the exemption enjoyed by the Central Government property from State taxation was not allowed to a Government Company - *Electronics Corporation of India Ltd.* v. *Govt. of Andhra Pradesh* [1999] 97 Comp. Cas. 470 (SC).

A Government company can even sue the Government in its own name as a litigant. But, since protracted litigation between a Government company on the one hand and a Government department on the other, results in waste of public money and other resources including time, such disputes are resolved, as far as possible, outside the juridical process.

The employees of a Government company are not the employees of the Central or State Government. Since employees of Government companies are not Government servants they have no legal right to claim that the Government should pay their salary or that the additional expenditure incurred on account of revision of their pay scales should be met by the Government. A Government company may, in fact, be wound up like any other company registered under the Companies Act. It may become insolvent or be unable to pay its debts. That should not mean that the shareholding Government, *viz.*, Central or State, as the case may be, has become bankrupt.

Government company is State itself - However, the Supreme Court in *Ajay Hasia* v. *Khalid Majit* AIR 1981 SC 496 held that a Government company may symbolize State. Justice Bhagwati observed as follows :

> "It is immaterial for the purpose whether the corporation is created by a statute or under a statute. The test is whether it is an instrumentality or agency of the Government and not as to how it is created. The enquiry has to be not as to how the juristic person is born but why it has been brought into existence. The corporation may be a statutory corporation created by a statute or it may be a Government company formed under the *Companies Act,* or it may be a society registered under the *Societies Registration Act, 1860* or any other similar statute. Whatever be its genetical origin, it would be an authority within the meaning of Article 12 if it is an instrumentality or agency of the Government and that would have to be decided on a proper assessment of the facts in the light of the relevant factors. The concept of instrumentality or agency of the Government is not limited to a corporation created by a statute but is equally applicable to a company or society and in a given case it would have to be decided on a consideration of the relevant factors whether the company or society is an instrumentality or agency of the Government so as to come within the meaning of the expression 'authority' in Article 12."

If a Government company is an authority, it shall be equivalent to a State and then it must also accept the obligations of the State.

Where more than 97 per cent of the share capital of the company has been contributed by the State Government and the financial institutions, controlled and belonging to the Government of India on the security and undertaking of the State Government, that the memorandum of association entrusted the company with important public duties, that out of 12 directors 5 were Government and departmental persons, besides other elected directors also were to be with the concurrence and nomination of the Government, it was clear that the State Government had deep and pervasive control of the company and its day-to-day administration, and the company was nothing but an instrumentality and agency of the State Government and the physical form of company was merely a cloak or cover for the Government - *Mysore Paper Mills Ltd.* v. *Mysore Paper Mills Officer's Association* [2002] 37 SCL 742 (SC).

Question whether an entity is a State within the meaning of Article 12 has to be decided by taking into consideration the cumulative facts as established and that whether such body or entity is financially, functionally and administratively dominated by or under the control of the Government - *R. V. Dnyansagar* v. *Maharashtra Industrial and Technical Consultancy Organisation Ltd.* [2003] 46 SCL 153 (Bom.).

Where there was nothing on record to indicate that the State Government had deep and pervasive control over the company and it was also not even a Government company within the meaning of section 617 [now section 2(45)], mere fact that the shares of the company prior to 1-6-1995 were held by banks or Industrial Banks/ Infrastructure Corporation by itself would not make it State or agency or instrumentality of State within meaning of Article 12 - *R. V. Dnyansagar* v. *Maharashtra Industrial and Technical Consultancy Organisation Ltd.* [2003] 46 SCL 153 (Bom.).

How should it be determined as to whether a Government company is an instrumentality or agency of the Government or not? Justice Bhagwati felt that it was not possible to evolve a straight formula by which corporations could be classified into those which are instrumentalities of Government and those which are not. However, an attempt to lay down certain tests in this regard was made in *Ramana Dayaram Shetty* v. *International Airports Authority of India* AIR 1979 SC 1628. These are as follows :

- If the entire share capital of the corporation is held by Government, it would go a long way towards indicating that the corporation is an instrumentality or agency of Government;
- Existence of deep and pervasive State control may afford an indication that the corporation is a State agency or instrumentality;
- It may also be a relevant factor ... whether the corporation enjoys monopoly status which is State conferred or State protected;
- If the functions of the corporation are of public importance and closely related to Government functions, it would be a relevant factor in classifying the corporation as an instrumentality or agency of Government;
- Specifically if a department of Government is transferred to a corporation it would be a strong factor supporting this inference of the corporation being an instrumentality or agency of Government.

It should be noted, however, that the tests referred to above are not individually decisive: their cumulative effect in each particular case has to be taken into account.

A Government company - Whether a private or public company - Should a Government company be incorporated as a private company or a public company, is a question on which the *Companies Act, 2013* is silent. As a result, a Government company may be incorporated either way. In fact, incorporating a Government company as a private company is more convenient since only two members are needed to constitute it [Ref: Section 3 of the *Companies Act, 2013*]. Consequently, originally almost all Government companies were established as private limited companies and the articles of association of such companies included matters contained in Section 2(*68*) of the *Companies Act, 2013.*

Audit of Government companies - See discussion under Para 19.33-2.

Sale of shares of Government companies - Sale of shares of Government companies, though uninhibited, cannot be to such an extent that substratum of character of these companies is allowed to be lost and converted into an ordinary company without being approved by general body of shareholders - *Centre for Public Interest Litigation* v. *Union of India* [2003] 117 Comp. Cas. 123 (SC).

3.11-1 Exemptions

Ministry of Corporate Affairs vide its Notification dated 5-6-2015 as amended vide its notification dated 13.6.2017 has announced, *inter alia,* the following exemption for Government companies:

1. **Use of word(s) 'Limited' or 'Private Limited'**: A Government Company is not required to use 'Limited' or 'Private Limited' at the end of its name.
2. **Transfer of shares:** In case of transfer of bonds issued by a Government company, duly stamped instrument of transfer executed by the transferor and the transferee shall not be required to be filed provided an intimation by the transferee specifying his name, address and occupation, if any, has been delivered to the company along with the certificate/letter of allotment relating to the bond.
3. **Beneficial interest in the shares:** Provisions of sections 89 and 90 with respect to declaration of beneficial interest in the shares and investigation thereof, respectively shall not apply to holding of shares in a Government Company.
4. **Place of AGM:** Under section 96, a Government company may hold its AGM at the registered office or such other place within the city, town or village in which the registered office of the company is situate or such other place as the Central Government may approve in this behalf.
5. **Dividends:** Under section 123(4), a Government Company in which entire paid up share capital is held by the Central Government or by any State Government(s) or by the Central Government and State Government(s) or by one or more Government Company need not deposit the dividend in a scheduled bank in a separate account within five days of its declaration.
6. **Board's Report**: The requirement of Board's Report to contain information on company's policy on directors' appointment and remuneration including criteria for determining qualifications, positive attributes, independence of a director, etc. in case of listed and other companies which are required to have Nomination and Remuneration Committee shall not apply to a Government company.
7. **Independent director**: Under section 149(6)(*a*), in case of a Government Company, a person shall be considered as an independent director if in the opinion of the Ministry or Department of the Central Government which is administratively in charge of the company, or as the case may be, the State Government is a person of integrity and possess relevant expertise and experience.
8. **Rotational Directors:** Provisions of section 152(6) and (7) relating to rotation of directors and filling of vacancy arising due to retiring of directors shall not apply to a Government company which is not a listed company.
9. **Managerial remuneration**: The provisions of section 197 relating to managerial remuneration do not apply to a Government Company.
10. **Mergers and Amalgamations:** Under provisions of sections 230-232 relating to compromise and arrangement as well as mergers and amalgamations, the power, instead of NCLT shall vest in the Central Government.
11. **Other Exemptions**: Provisions of many other sections including sections 160, 162, 163, 170, 171, 185 and 186 shall not apply to a Government Company.

3.12 Foreign company

As per section 2(*42*) "foreign company" means any company or body corporate incorporated outside India which—

(*a*) has a place of business in India whether by itself or through an agent, physically or through electronic mode*; and

(*b*) conducts any business activity in India in any other manner.

Having a share transfer office or share registration office will constitute a place of business.

Provisions of section 92 of the Act relating to the filing of the annual return with the Registrar of Companies are also applicable to a foreign company.

In *Tovarishestvo Manufacture Liudvig Rabenek, Re* [1944] Ch. 404 it was held that where representatives of a company incorporated outside the country frequently visited and stayed in a hotel for looking after purchase of machinery and other articles, it was held that the company had a place of business in the hotel.

Mere holding property cannot amount to having a place of business.

But, where the company delivered to the Registrar of Companies at Bombay documents under section 592 (now section 380) and such documents under that section are to be delivered within 30 days of the establishment of the place of business, it was held that by delivering the documents, the defendants had admitted that the company had established a place of business within India [*Framroze Rustomji Paymaster* v. *British Burmah Petroleum Co. Ltd.* [1976] 46 Comp. Cas. 587 (Bom.).

It may be noted that section 2(*42*) defines a foreign company in terms of its place of incorporation. If the company is established outside India and has a place of business in India, then only it will be a foreign company under the section. Accordingly, a company incorporated outside India having shareholders who are all Indian citizens and having its business outside India is not covered. Contrarily, a company incorporated in India but having all foreign shareholders shall be an Indian company and not a foreign company as contemplated under section 2(*42*).

3.12-1 Special provisions relating to foreign companies

A foreign company has to furnish to the Registrar the following documents within 30 days of the establishment of the business in India: (Sec. 380)

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*Rule 2(1)(*h*) of **the Companies (Specification of Definitions Details) Rules, 2014** defines 'electronic mode' as follows:—

"Electronic mode", for the purposes of clause (*42*) of section 2 of the Act, means carrying out electronically based, whether main server is installed in India or not, including, but not limited to-

(*i*) business to business and business to consumer transactions, data interchange and other digital supply transactions;

(*ii*) offering to accept deposits or inviting deposits or accepting deposits or subscriptions in securities, in India or from citizens of India;

(*iii*) financial settlements, web based marketing, advisory and transactional services, database services and products, supply chain management;

(*iv*) online services such as telemarketing, telecommuting, telemedicine, education and information research; and

(*v*) all related data communication services,

whether conducted by e-mail, mobile devices, social media, cloud computing, document management, voice or data transmission or otherwise.

(*a*) A certified copy of the charter, statute or memorandum and articles of the company or other instrument constituting or defining the constitution of the company; and if the instrument is not in English language, a certified translation thereof,

(*b*) The full address of the registered or principal office of the company.

(*c*) A list of directors and secretary of the company containing such particulars, as may be prescribed.

(*d*) The name(s) and address(es) of one or more persons resident in India, authorised to accept, on behalf of the company, service of process and any notices or other documents required to be served on the company shall be deemed to be sufficiently served, if addressed to any person whose name and address have been delivered to the Registrar and left at, or sent by post to, the address which has been so delivered to the Registrar or by electronic mode (Section 383).

(*e*) The full address of the office of the company in India which is to be deemed to be principal place of business in India.

(*f*) Particulars of opening and closing of a place of business in India on earlier occasion or occasions;

(*g*) Declaration that none of the directors of the company or the authorised representative in India has ever been convicted or debarred from formation of companies and management in India or abroad; and

(*h*) Any other information as may be prescribed.

The aforesaid documents shall be filed along with Form FC-1. The application shall also be supported with an attested copy of approval from the Reserve Bank of India under Foreign Exchange Management Act or Regulations, and also from other Regulators, if any, approval is required by such foreign company to establish a place of business in India or a declaration from the authorized representative of such foreign company that no such approval is required.

Where any alteration is made or occurs in the documents delivered to the Registrar under this section, the foreign company shall, within thirty days of such alteration, deliver to the Registrar for registration, a return containing the particulars of the alteration in the prescribed form [Section 380(3)].

Where foreign bank had brought on record factum of change of its name pursuant to merger to ROC by filing the prescribed Form, petition filed to treat all filings of foreign bank as null and void was dismissed by the Delhi High Court - *Klen & Marshalls Manufacturers & Exporters Ltd.* v. *Union of India* [2013] 30 taxmann.com 129 (Delhi)

If the company establishes any branch or branches of its business in India, no further information need be given except that with the annual accounts, the company should deliver a copy of a list in the prescribed form of all places of business established by the company in India as at the date with reference to which the accounts are made out [Sec. 381(3)].

3.12-2 Other obligations of a foreign company (Sec. 382) - A foreign company is further bound by the following obligations:

3.12-2a DISPLAY OF ITS NAME AND COUNTRY OF INCORPORATION - It shall conspicuously exhibit on the outside of every office or place of business, its name and the country of incorporation in English and the vernacular (local) language in general use.

3.12-2b PUBLICATION OF NAME - It shall cause the name of the company and of the country in which the company is incorporated, to be stated in legible English characters in all business letters, letter heads and letter papers and in all notices and other official publications of the company.

3.12-2c LIABILITY OF MEMBERS - If the liability of the members of the company is limited, it shall cause notice of that fact :

(*i*) in every such prospectus issued and in all business letters, letter heads, letter papers, notices, advertisements and other official publications of the company, in legible English characters;

(*ii*) to be conspicuously exhibited on the outside of every office or place where it carries on business in India, in legible English characters and also in legible characters of the languages or one of the languages in general use in the locality in which the office or place is situated.

3.12-2d OBLIGATIONS REGARDING ACCOUNTS (SEC. 381) - Every foreign company shall, in every calendar year,—

(*a*) make out a balance sheet and profit and loss account in such form, containing such particulars and including or having annexed or attached thereto such documents as may be prescribed; and

(*b*) deliver a copy of those documents to the Registrar.

However, the Central Government may, by notification, exempt any foreign company or class of foreign companies from the aforesaid requirements*.

If any above mentioned document is not in the English language, there shall be annexed to it a certified translation thereof in the English language.

*Ministry of Corporate Affairs *vide* Notification No. S.O. 2463(E) dated the 19th July, 2016 has declared that, in so far as it relates to the foreign company which is an airlines company having share capital, it shall be deemed sufficient compliance of the provisions of clause (*a*) of sub-section (1) of section 381 of the Act, if a company submits to the appropriate Registrar of Companies in India,—

(*i*) documents relating to copies of latest consolidated financial statements of the parent foreign company, as submitted by it to the prescribed authority in the country of its incorporation under the provisions of the law for the time being in force in that country: Provided that where such documents are not in English language, there shall be annexed to it a certified translation thereof in the English language.

(*ii*) in respect of its Indian Business operations, a statement of receipts and payments for the financial year, duly authenticated by a practicing Chartered Accountant in India or a firm or a Limited Liability Partnership of practicing Chartered Accountants in India.

(*iii*) the documents required to be filed with Registrar of Companies under sub-rule (2) of rule 4 of the Companies (Registration of Foreign Companies) Rules, 2014.

Audit of accounts of foreign companies

Every foreign company shall get accounts, pertaining to the Indian business operations prepared in accordance with the requirements of clause (*a*) of sub-section (1) of section 381 and rule 4, audited by a practicing chartered accountant or a firm or limited liability partnership of chartered accountants.

The provisions of the Companies Act, 2013 as contained in Chapter X, *i.e.*, Audit and Auditors and rules made thereunder shall apply, *mutatis mutandis*, to the foreign company – Rule 5 of the Companies (Registration of Foreign Companies) Rules, 2014.

3.12-2e BOOKS OF ACCOUNT AND OTHER RECORDS (SEC. 384) - The provisions of section 128 shall apply to a foreign company to the extent of requiring it to keep at its principal place of business in India, the books of account referred to in that section, with respect to monies received and spent, sales and purchases made, and assets and liabilities, in the course of or in relation to its business in India.

3.12-2f REQUIREMENTS AS TO PROSPECTUS (SECS. 387 TO 389) - A foreign company may, even if it has no place of business in India, issue a prospectus offering shares or debentures for subscription. But, the prospectus shall have to comply with the provisions of sections 387 to 389 of the Act relating to prospectus. *For example*, it shall have to be in the form and contain matters and returns specified in section 26. It must also be registered with the Registrar before it is issued (Sec. 389).

In addition to the general requirements of the Act, section 387 requires the prospectus of a foreign company to contain particulars with respect to the following matters :—

(*a*) The instrument containing or defining the constitution of the company;

(*b*) The provisions of law under which the company was incorporated;

(*c*) An address in India where the above instrument and the enactments or provisions of law may be inspected. If they are not in the English language, the certified English copy should be made available;

(*d*) The date on which and the country in which the company would be or was incorporated.

(*e*) Whether the company has established a place of business in India and if so, the address of its principal office in India.

As per Rule 11 of the Companies (Registration of Foreign Companies) Rules, 2014, the following documents shall be annexed to the prospectus:

(*a*) any consent to the issue of the prospectus required from any person as an expert;

(*b*) A copy of contracts for appointment of managing director or manager and in case of a contract not reduced into writing, a memorandum giving full particulars thereof;

(*c*) A copy of any other material contracts, not entered in the ordinary course of business, but entered within preceding two years;

(*d*) A copy of underwriting agreement;

(*e*) A copy of power of attorney, if prospectus is signed through duly authorized agent of directors.

3.12-2g FOREIGN COMPANIES IN WHICH NOT LESS THAN 50% OF THE PAID-UP SHARE CAPITAL IS IN INDIAN HANDS - Section 379 provides that where not less than 50% of the paid-up share capital (whether equity or preference or partly equity, partly preference) of a company incorporated outside India and having an established place of business in India, is held by one or more citizens of India or/and by one or more bodies corporate incorporated in India whether singly or in the aggregate, such company shall be required to comply with all the provisions of the Act with regard to the business carried on by it in India as if it were a company incorporated in India.

Office where documents to be delivered and fee for registration of documents

As per Rule 8 of the Companies (Registration of Foreign Companies) Rules, 2014, any document which any foreign company is required to deliver to the Registrar shall be delivered to the Registrar at New Delhi.

3.12-2h PENALTY - If a foreign company contravenes any of the aforesaid provisions, it shall be punishable with fine which shall not be less than one lakh rupees but which may extend to three lakh rupees and in the case of a continuing offence, with an additional fine which may extend to fifty thousand rupees for every day after the first during which the contravention continues and every officer of the foreign company who is in default shall be punishable with imprisonment for a term which may extend to six months or with fine which shall not be less than twenty- five thousand rupees but which may extend to five lakh rupees, or with both. [Section 392]

3.12-2i WINDING-UP - Where a foreign company which has been carrying on business in India, ceases to carry on such business in India, it may be wound-up as an unregistered company under section 375.

A foreign company may be a Government company and it may be wound-up or a scheme under section 391 (now section 230) may be sanctioned by the Court in India - *Rivers Steam Navigation Co. Ltd., In re* [1967] 2 Comp. LJ 106.

A foreign company's business in India can be wound-up even in cases where the company has been dissolved or otherwise ceased to exist under the laws of the country under which it was incorporated (Sec. 376).

Foreign company ceases to have place of business in India

Rule 8(3) of the Companies (Registration of Foreign Companies) Rules, 2014 provides that if any foreign company ceases to have a place of business in India, it shall forthwith give notice of the fact to the Registrar, and as from the date on which notice is so given, the obligation of the company to deliver any document to the Registrar shall cease, provided it has no other place of business in India.

Action for improper use or description as foreign company

Rule 12 of the Companies (Registration of Foreign Companies) Rules, 2014 provides that if any person or persons trade or carry on business in any manner under any name or title or description as a foreign company registered under the Act or the rules made thereunder, that person or each of those persons shall, unless duly registered as foreign company under the Act shall be liable for investigation under section 210 of the Act and action consequent upon that investigation shall be taken against that person.

3.12-2j OFFER OF INDIAN DEPOSITORY RECEIPTS (IDRs) (SEC. 390)[6] - An IDR is an instrument denominated in Indian rupees in the form of a depository receipt created by a domestic depository (custodian of securities registered with the Securities and Exchange Board of India) against the underlying equity of issuing company to enable foreign companies to raise funds from the Indian securities markets.

In an IDR, foreign companies would issue shares, to a domestic (Indian) depository, which would in turn issue depository receipts to investors in India. The actual shares underlying the IDRs would be held by an Overseas Custodian, which shall authorize the Indian depository to issue the IDRs. To that extent, IDRs are derivative instruments because they derive their value from the underlying shares.

Like Indian companies trying to tap funds abroad by issue of Global Depository Receipts (GDRs) or American Depository Receipts (ADRs), companies from outside India are interested to raise funds from India. They are allowed to do so but subject to the provisions of section 390.

Section 390 provides that, notwithstanding anything contained in any other law for the time being in force, the Central Government may make rules applicable for—

(*a*) the offer of Indian Depository Receipts;

(*b*) the requirement of disclosures in prospectus or letter of offer issued in connection with Indian Depository Receipts;

(*c*) the manner in which the Indian Depository Receipts shall be dealt with in a depository mode and by custodian and underwriters; and

(*d*) the manner of sale, transfer or transmission of Indian Depository Receipts, by a company incorporated or to be incorporated outside India, whether the company has or has not established, or will or will not establish, any place of business in India.

Rule 13 of the Companies (Registration of Foreign Companies) Rules, 2014 has, *inter alia*, made the following Rules with respect to Issue of Indian Depository Receipts (IDRs):

(1) For the purposes of section 390, no company incorporated or to be incorporated outside India, whether the company has or has not established, or may or may not establish, any place of business in India (hereinafter in this rule called 'issuing company') shall make an issue of Indian Depository Receipts (IDRs) unless such company complies with the conditions mentioned under this rule, in addition to the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2009 and any directions issued by the Reserve Bank of India.

Explanation - For the purposes of this rule, the term "Indian Depository Receipt" (hereinafter referred to as 'IDR') means any instrument in the form of a depository receipt created by a Domestic Depository in India and authorized by a company incorporated outside India making an issue of such depository receipts.

6. Section 390 became operational w.e.f. 1 April, 2014.

(2) The issuing company shall not issue IDRs unless–

(*a*) its pre-issue paid-up capital and free reserves are at least US$ 50 million and it has a minimum average market capitalization (during the last three years) in its parent country of at least US$ 100 million;

(*b*) it has been continuously trading on a stock exchange in its parent or home country (the country of incorporation of such company) for at least three immediately preceding years;

(*c*) it has a track record of distributable profits in terms of section 123 of the Act, for at least three out of immediately preceding five years;

(*d*) it fulfils such other eligibility criteria as may be laid down by the Securities and Exchange Board of India from time to time in this behalf.

(3) The issuing company shall follow the following procedure for making an issue of IDRs:

(*a*) the issuing company shall, where required, obtain the necessary approvals or exemptions from the appropriate authorities from the country of its incorporation under the relevant laws relating to issue of capital and IDRs.

(*b*) issuing company shall obtain prior written approval from the Securities and Exchange Board of India on an application made in this behalf for issue of IDRs along with the issue size.

(*c*) an application under clause (*b*) shall be made to the Securities and Exchange Board of India (along with draft prospectus) at least ninety days prior to the opening date of the IDRs issue, in such the prescribed form and manner.

Besides, the issuing company shall also file with the Securities and Exchange Board of India, through a Merchant Banker, a due diligence report along with the application under clause (*b*) in the form specified by the Securities and Exchange Board of India.

(*d*) the Securities and Exchange Board of India may, within a period of thirty days of receipt of an application under clause (*c*), call for such further information, and explanations, as it may deem necessary, for disposal of such application and shall dispose the application within a period of thirty days of receipt of further information or explanation.

However, if within a period of sixty days from the date of submission of application or draft prospectus, the Securities and Exchange Board of India specifies any changes to be made in the draft prospectus, the prospectus shall not be filed with the Securities and Exchange Board of India or Registrar of Companies unless such changes have been incorporated therein.

(*e*) the issuing company shall on approval being granted by the Securities and Exchange Board of India to an application under clause (*b*), pay to the Securities and Exchange Board of India The prescribed issue.

(*f*) the issuing company shall file a prospectus containing the prescribed particulars and certified by two authorized signatories of the issuing company, one of whom shall be a whole-time director and other the Chief Financial Officer, stating the particulars of the resolution of the Board by which it was approved with the Securities and Exchange Board of India and Registrar of Companies, New Delhi before such issue:

Provided that at the time of filing of said prospectus with the Registrar of Companies, New Delhi, a copy of approval granted by the Securities and Exchange Board of India and the statement of fees paid by the Issuing Company to the Securities and Exchange Board of India shall also be attached.

(*g*) the issuing company shall appoint and deliver the underlying equity shares or cause them to be delivered to an overseas custodian bank who shall authorize the domestic depository to issue IDRs. The issuing company shall also appoint a Domestic Depository and a Merchant Banker for the purpose of issue of IDRs.

(*h*) the issuing company may appoint underwriters registered with the Securities and Exchange Board of India to underwrite the issue of IDRs.

(*i*) the issuing company shall obtain in-principle listing permission from one or more stock exchanges having nationwide trading terminals in India.

(4) The Merchant Banker to the issue of IDRs shall deliver for registration the prescribed documents and information to the Securities and Exchange Board of India and Registrar of Companies at New Delhi. The documents are similar to the documents required to be filed by a foreign company.

(5) (*a*) No application form for the securities of the issuing company shall be issued unless the form is accompanied by a memorandum containing the salient features of prospectus in the specified form.

(*b*) An application form can be issued without the memorandum as specified in clause (a), if it is issued in connection with an invitation to enter into an underwriting agreement with respect to the IDRs.

(*c*) The prospectus for subscription of IDRs of the Issuing company which includes a statement purporting to be made by an expert shall not be circulated, issued or distributed in India or abroad unless a statement that the expert has given his written consent to the issue thereof and has not withdrawn such consent before the delivery of a copy of the prospectus to the Securities and Exchange Board of India and the Registrar of Companies, New Delhi, appears on the prospectus.

(*d*) The provisions of the Act shall apply for all liabilities for mis-statements in prospectus or punishment for fraudulently inducing persons to invest money in IDRs.

(*e*) The person(s) responsible for issue of the prospectus shall not incur any liability by reason of any non-compliance with or contravention of any provision of this rule, if—

(*i*) as regards any matter not disclosed, he proves that he had no knowledge thereof; or

(*ii*) the contravention arose in respect of such matters which in the opinion of the Central Government or the Securities and Exchange Board of India were not material.

(6) (*a*) A holder of IDRs may transfer the IDRs, may ask the Domestic Depository to redeem them or any person may seek reissuance of IDRs by conversion of underlying equity shares, subject to the provisions of the Foreign Exchange Management Act, 1999, the Securities and Exchange Board of India Act, 1992, or the

rules, regulations or guidelines issued under these Acts, or any other law for the time being in force;

(*b*) In case of redemption, Domestic Depository shall request the Overseas Custodian Bank to get the corresponding underlying equity shares released in favour of the holder of IDRs for being sold directly on behalf of holder of IDRs, or being transferred in the books of Issuing company in the name of holder of IDRs and a copy of such request shall be sent to the issuing company for information.

(*c*) A holder of IDRs may, at any time, nominate a person to whom his IDRs shall vest in the event of his death and Form FC-5 may be used for this purpose.

(7) (*a*) The repatriation of the proceeds of issue of IDRs shall be subject to laws for the time being in force relating to export of foreign exchange.

(*b*) The number of underlying equity shares offered in a financial year through IDR offerings shall not exceed twenty five per cent of the post issue number of equity shares of the company.

(*c*) Notwithstanding the denomination of securities of an Issuing company, the IDRs issued by it shall be denominated in Indian Rupees.

(*d*) The IDRs issued under this Rule shall be listed on the recognized Stock Exchange(s) in India as specified in clause (k) of sub-rule (3) and such IDRs may be purchased, possessed and freely transferred by a person resident in India as defined in section 2(v) of the Foreign Exchange Management Act, 1999, subject to the provisions of the said Act:

Provided that the IDRs issued by an Issuing company may be purchased, possessed and transferred by a person other than a person resident in India if such Issuing company obtains specific approval from Reserve Bank of India in this regard or complies with any policy or guidelines that may be issued by Reserve Bank of India on the subject matter;

(*e*) Every issuing company shall comply with such continuous disclosure requirements as may be specified by the Securities and Exchange Board of India in this regard.

(*f*) On the receipt of dividend or other corporate action on the IDRs as specified in the agreements between the Issuing company and the Domestic Depository, the Domestic Depository shall distribute them to the IDR holders in proportion to their holdings of IDRs.

(8) The prospectus or letter of offer shall contain the prescribed particulars.

3.13 Holding and subsidiary companies

'Holding' and 'subsidiary' companies are relative terms. Generally speaking, if one company controls another company, the controlling company may be termed as the 'Holding company' and the company so controlled as a 'Subsidiary'.

According to Section 2(46), "holding company", in relation to one or more other companies, means a company of which such companies are subsidiary companies. *Explanation to this clause, added by the Companies (Amendment) Act, 2017 states that f*or the purposes of this clause, the expression "company" shall include any 'body corporate'.

Impact of change

A holding company, in relation to one or more other companies, was defined under the 2013 Act as a '*company*' of which such companies are subsidiary companies. The term '*company*' refers to a company incorporated under the 2013 Act or any previous company law and does not refer to an entity incorporated outside India. Accordingly, while Indian companies qualify as subsidiaries of foreign holding companies as per the definition of subsidiary under the 2013 Act, foreign holding companies were not covered within the ambit of the definition of holding company.

The CLC in its report observed that though this was a minor anomaly, it could lead to uncertainties in ascertaining the status of a foreign holding company and in determining the applicability of the 2013 Act to such a company.

The Amendment Act has therefore introduced an explanation to the definition of holding company to clarify that a holding company includes any body corporate.

Thus, Foreign companies which meet the prescribed test under the 2013 Act will consequently qualify as holding companies.

Accordingly, provisions of the 2013 Act which refer to holding companies, such as issuance of ESOPs of a holding company to employees of the Indian subsidiary, the restriction on auditors and audit firms providing certain non-audit services wherein they are engaged directly or indirectly by the holding company (or any of the holding company's associates or subsidiaries), the restriction on an Indian company giving loans to a director of its holding company, etc. will apply to a foreign holding company as well.

Subsidiary Company

According to Section 2(*87*), as amended by the (Amendment) Act of 2017, "subsidiary company" or "subsidiary", in relation to any other company (that is to say the holding company), means a company in which the holding company—

(*i*) controls the composition of the Board of Directors; or

(*ii*) exercises or controls more than one-half of the total voting power either at its own or together with one or more of its subsidiary companies:

However, such class or classes of holding companies as may be prescribed shall not have layers of subsidiaries beyond such numbers as may be prescribed.

You may note that a company shall be deemed to be a subsidiary company of the holding company even if the control referred to in (*i*) or (*ii*) above is of another subsidiary company of the holding company;

Further, the composition of a company's Board of Directors shall be deemed to be controlled by another company if that other company, by exercise of some power exercisable by it at its discretion, can appoint or remove all or a majority of the directors.

A company (let's call it Company 'S') shall be deemed to be the subsidiary of another company (let's call it Company 'H'), say, in the following cases:

(*a*) When the company (Company 'H') controls the composition of Board of directors of other company (Company 'S')

Control over composition of a subsidiary company's Board of directors can arise from provisions in subsidiary's memorandum or articles or from a contract with subsidiary empowering holding company to appoint directors to subsidiary's Board - *Oriental Industrial Investment Corporation Ltd.* v. *Union of India* [1981] 51 Comp. Cas. 487 Delhi.

(*b*) When the Company 'H' holds more than half of the total share capital of Company 'S'. Again, where Company 'H' together with Company 'S' holds more than half of the total share capital of company 'Z', then company 'Z' will be subsidiary of Company 'H'.

(*c*) When Company 'S' is a subsidiary of a Company 'T' which itself is a subsidiary of Company 'H'.

In any of the above cases, the Company 'S' would be deemed a subsidiary of Company 'H'.

You may note that unless there is a specific contract between the two companies, one cannot be said to be the agent of another. A subsidiary company also cannot be said to be a part of the holding company. The two enjoy separate legal entities.

The position regarding holding subsidiary relationship was impressively summarised in the case of *M. Velayudhan* v. *Registrar of Companies* [1980] 50 Comp. Cas. 33 (Ker.) as follows :—

Section 4 [now section 2(*87*)] envisages the existence of subsidiary companies in different situations. It may be that by acquiring sufficient share capital of a company, sufficient control may be obtained over that company to enable control in the composition of board of directors. But, it is also possible to obtain such control in regard to the composition of the board of directors without making such an investment in equity capital of the company. Such a control may be by reason of an agreement such as where one company may agree to advance funds to another company and in return may, under the terms of an agreement, gain control over the right to appoint all or a majority of the Board of directors. The first of the cases envisaged in section 4 [now section 2(*87*)] is the case where a control is obtained by a company in the matter of composition of the Board of directors of another company. That would be sufficient to constitute the former as holding company and the other as subsidiary. The second type of cases is where more than half of the nominal value of the equity share capital is held by another company. By virtue of such holding that other company becomes a holding company and the one whose shares are so held becomes a subsidiary company. The third case envisaged is where a subsidiary company of a holding company may be a holding company in relation to another company. That other company is also a subsidiary of the holding company of the subsidiary.

Questions as to whether a company was subsidiary of other company cannot be decided merely on basis of fact that one of directors was common to said companies, but it has to be decided in context of section 4 [now section 2(*87*)] - *Whale Stationery Products Ltd.* v. *UOI* [2007] 75 SCL 351 (Delhi).

3.13A Associate Company [Section 2(6)]

According to section 2(*6*) of the Companies Act, 2013, as amended by the Companies (Amendment) Act, 2017 an 'Associate company', in relation to another company means a company in which that other company has a control of at least twenty per cent of total voting power, or control of or participation in business decisions under an agreement.

Associate company is not a subsidiary but may be a joint venture. The expression "joint venture" means a joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the arrangement.

3.14 Public financial institutions [Sec. 2(72)]

According to Section 2(*72*) of the Companies Act, 2013, as amended by the (Amendment) Act, 2017, the following financial institutions shall be regarded, for the purposes of the Act, as public financial institutions, namely :

(*i*) the Life Insurance Corporation of India ;

(*ii*) the Infrastructure Development Finance Company Limited;

(*iii*) specified company referred to in the Unit Trust of India (Transfer of Undertaking and Repeal) Act, 2002*;

(*iv*) institutions notified by the Central Government under sub-section (*2*) of section 4A of the Companies Act, 1956 ;

(*v*) such other institution as may be notified by the Central Government in consultation with the Reserve Bank of India.

However, no institution shall be so notified unless—

(*A*) it has been established or constituted by or under any Central or State Act, other than this Act or the previous company law; or

(*B*) not less than fifty-one per cent of the paid-up share capital is held or controlled by the Central Government or by any State Government or Governments or partly by the Central Government and partly by one or more State Governments.

The Central Government has, *inter alia,* specified the following institutions to be public financial institutions, namely :—

(1) The Industrial Investment Bank of India (Formerly, IRBI).

(2) The General Insurance Corporation of India (GIC).

(3) The National Insurance Company Limited.

(4) The New India Assurance Company Limited.

(5) The Oriental Fire & General Insurance Company Limited.

(6) The United Fire & General Insurance Company Limited.

(7) The Shipping and Credit & Investment Company of India Ltd. (SCICI).

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*Central Government constituted UTI Trustee company and UTI Asset Management Company as the specified companies – *Press Release dated 15-1-2003, Ministry of Finance and Company Affairs.*

(8) Tourism Finance Corporation of India Ltd. (TFCI).

(9) Risk Capital & Technology Finance Corporation Ltd.

(10) Technology Development & Information Company of India Ltd.

(11) Power Finance Corporation Limited.

(12) National Housing Bank (NHB).

(13) Small Industries Development Bank of India (SIDBI).

(14) Rural Electrification Corporation Limited.

(15) Indian Railways Finance Corporation Limited.

(16) Industrial Finance Corporation of India Limited.

(17) Andhra Pradesh State Financial Corporation.

(18) Assam Financial Corporation.

(19) Bihar State Financial Corporation.

(20) Delhi Financial Corporation.

(21) Gujarat State Financial Corporation.

(22) Haryana Financial Corporation.

(23) Himachal Pradesh Financial Corporation.

(24) Jammu & Kashmir State Financial Corporation.

(25) Karnataka State Financial Corporation.

(26) Kerala Financial Corporation.

(27) Madhya Pradesh Financial Corporation.

(28) Maharashtra State Financial Corporation.

(29) Orissa State Financial Corporation.

(30) Punjab Financial Corporation.

(31) Rajasthan Financial Corporation.

(32) Tamilnadu Industrial Development Corporation Limited.

(33) Uttar Pradesh Financial Corporation.

(34) West Bengal Financial Corporation [Notification No. S.O. 247(E), dated 28-3-1995].

(35) North Eastern Development Finance Corporation Limited (Notification dated 23-7-1996).

(36) Indian Renewable Energy Development Agency Ltd.

(37) Housing and Urban Development Corpn. Ltd.

(38) Export-Import Bank of India.

(39) National Bank for Agriculture and Rural Development (NABARD).

(40) National Co-operative Department Corporation (NCDC) added by Notification No. 581E, dated 9-5-2003.

(41) National Dairy Development Board.

(42) The Pradeshiya Industrial and Investment Corporation of UP Ltd.

(43) Rajasthan State Industrial Development and Investment Corporation Ltd.

(44) State Industrial Development Corporation of Maharashtra Ltd.

(45) West Bengal Industrial Development Corporation Ltd.

(46) Tamil Nadu Industrial Development Corporation Ltd.

(47) The Punjab State Industrial Development Corporation Ltd. [Notification No. S.O. 1531(E) dated 25-10-2006].

(48) EDC Ltd. [Notification dated 9-1-2007].

(49) Tamil Nadu Power Finance and Infrastructure Development Corporation Ltd. [Notification No. S.O. 20(E) dated 9-1-2007].

(50) Tamil Nadu Urban Finance and Infrastructure Development Corporation Ltd.*

(51) Kerala State Power and Infrastructure Finance Corporation Ltd.*

(52) Jammu and Kashmir Development Financial Corporation [Notification No. SO. 298(E), dated 12-2-2008]

(53) Kerala State Industrial Development Corpn. Ltd. [Notification No. S.O. 110(E), dated 9-1-2009].

(54) Indian Infrastructure Finance Co. Ltd. [Notification No. S.O. 143(E), dated 14-1-2009].

(55) Gujarat Industrial Investment Corporation Ltd. [Notification No. S.O. 1355(E), dated 10-6-2011].

(56) Andhra Pradesh Industrial Dev. Corporation Ltd. [Notification No. S.O. 1355(E), dated 10-6-2011].

(57) Karnataka Urban Infrastructure Development and Finance Corporation Ltd. [Notification No. S.O. 1355(E), dated 10-6-2011].

(58) L&T Infrastructure Finance Co. Ltd. [Notification No. S.O. 1355(E), dated 10-6-2011].

(59) Srei Infrastructure Finance Co. Ltd. [Notification No. S.O. 2223(E), dated 26-9-2011].

The Companies (Amendment) Act, 2017 has clarified that a company incorporated under the Companies Act cannot be notified as a Public Financial Institution.

3.15 Producer Companies [Sections 378A to 378ZU][7]

Definition of Important Terms

(*a*) "**Active Member**" means a Member who fulfils the quantum and period of patronage of the Producer Company as may be required by the articles.

(*b*) "**Inter-State co-operative society**" means a multi-State co-operative society as defined in clause (*p*) of section 3 of the Multi-State Co-operative Societies Act, 2002.

7. As per Companies (Amendment) Act, 2020.

(*c*) "**Member**" means a person or Producer Institution (whether incorporated or not) admitted as a Member of a Producer Company and who retains the qualifications necessary for continuance as such.

(*d*) "**Patronage**" means the use of services offered by the Producer Company to its Members by participation in its business activities.

(*e*) "**Primary Produce**" means — (*i*) produce of farmers, arising from agriculture (including animal husbandry, horticulture, floriculture, pisciculture, viticulture, forestry, forest products, re-vegetation, bee raising and farming plantation products), or from any other primary activity or service which promotes the interest of the farmers or consumers; or (*ii*) produce of persons engaged in handloom, handicraft and other cottage industries; or (*iii*) any product resulting from any of the above activities, including by-products of such products; or (*iv*) any product resulting from an ancillary activity that may assist or promote any of the aforesaid activities or anything ancillary thereto; (*v*) any activity which is intended to increase the production of anything referred to in sub-clauses (*i*) to (*iv*) or improve the quality thereof.

(*f*) "**Producer**" means any person engaged in any activity connected with or relatable to any primary produce.

(*g*) "**Producer Company**" means a body corporate having objects or activities specified in section 378B and registered as Producer Company under this Act or under the Companies Act, 1956.

(*h*) "**Producer Institution**" means a Producer Company or any other institution having only producer or producers or Producer Company or Producer Companies as its member whether incorporated or not having any of the objects referred to in section 378B and which agrees to make use of the services of the Producer Company or Producer Companies as provided in its articles.

(*i*) "**Withheld Price**" means part of the price due and payable for goods supplied by any Member to the Producer Company; and as withheld by the Producer Company for payment on a subsequent date.

The necessity to bring in this class of companies under the discipline of the Companies Act, though has not been spelt out in this Part, but it seems to provide a regulated platform for development of entities engaged in activities that a producer company may engage in sections 378A to 378ZU of the Act spread on twelve chapters comprise this Part.

Recognising inherent limitations of the co-operative form of economic organization and primarily to bring the multi-State co-operative societies in the main-stream economic activity but not giving-up the co-operative principle of mutual assistance, Part XXI A has been enacted and included in the Companies Act, 1956. This Part has been so framed as to bring inducement for earning profit by emphasising on active membership, distribution of patronage bonus and other direct benefits to members. Further, the scheme of activity has been devised for bringing discernible corporate culture by creating position for C.E.O. and emphasizing on marketing, research, technical services, training, etc.

3.15-1 Overview of the provisions

Part XXIA as introduced enable incorporation of co-operatives as companies and conversion of existing co-operatives into companies, on optional basis. Unique elements of co-operative business are accommodated within a regulatory framework similar to that of companies. The salient features are - (*i*) to offer a statutory and regulatory framework that creates the potential for producer-owned enterprises to compete with other enterprises on a competitive footing, (*ii*) to provide for the formation and registration of producer companies which include the mutual assistance and co-operative principles within the more liberal regulatory framework afforded by the Company Law with suitable adaptations, (*iii*) to provide an opportunity to co-operative institutions to voluntarily transform themselves into the new form of producer companies, (*iv*) conversion of a co-operatives to producer companies is purely voluntary, (*v*) member's equity may not be publicly traded, but may only be transferred, with the approval of the producer company's Board of Directors. Producer companies would not be vulnerable to the takeover by multinationals or other companies, (*vi*) the conversion option by co-operative society to producer company can be exercised only if two-thirds of the members of the concerned society vote in favour of a resolution to that effect, (*vii*) the new form of company is designated as 'producer company' to indicate that only certain categories of persons can participate in the ownership of such companies. The members of the Producer Company have necessarily to be 'primary producers' that is persons engaged in an activity connected with, or relatable to, primary produce, (*viii*) the objects of a producer company have been defined to include, among other things production, processing, manufacture and sale of primary produce as well as allied matters.

3.15-2 Incorporation of Producer Companies

Section 378B to section 378N deal with matters connected with incorporation of producer companies. Section 378B(*i*) specifies the objects with which a producer company can be incorporated under the Act. The nucleus of all the objects stated in the aforesaid section seems to be 'primary produce' and this expression has been defined in section 378A(j) meaning—

(*i*) produce of farmers arising from agriculture [including animal husbandry, horticulture, floriculture, pisciculture (raising fish), viticulture (growing grapes), forestry, forest products, re-vegetation, bee raising and farming plantation products], or from any other primary activity or service which promoted the interest of farmers or consumers;

(*ii*) produce of persons engaged in handloom, handicraft and other cottage industries;

(*iii*) any product resulting from any of the above activities, including by-products of such products;

(*iv*) any product resulting from an ancillary activity that would assist or promote any of the aforesaid activities or anything ancillary thereto;

(*v*) any activity which is intended to increase the production of anything referred to in (*i*) to (*iv*) above or improve the quality thereof. Broadly, the definition covers activities of and related to agriculture (of various forms) and handloom, handicraft and other cottage industries. Till now these activities had been the concern of co-operative societies.

However, services also come within the definition by virtue of clause (*v*) above.

3.15-3 Objects of a Producer Company

The objects with which a producer company can be incorporated are as under :

(*a*) production, harvesting, procurement, grading, pooling, handling, marketing, selling and export of primary produce of the members or import of goods or services for their benefit; any of these activities can be carried on by the company being incorporated or through other institution on behalf of the company;

(*b*) processing including preserving, drying, distilling, brewing, venting, canning and packaging of produce of its members;

(*c*) manufacture, sale or supply of machinery, equipment or consumables mainly to its members; [in other words, a producer company can as well be a normal manufacturing or trading company provided it produces requirements of the farming sector and handicrafts, handloom and cottage industries, provided further that the company's members are the main buyers and users of these products];

(*d*) providing education on the mutual assistance principles to its members and others; [*i.e.*, it can be an institution imparting education to the members of the company as also others, owning the institution on principles of 'mutual assistance'. The expression 'mutual assistance principle' has been defined in section 378A(*f*) read with section 378B(2) of the Act];

(*e*) rendering technical services, consultancy services, training, research and development and all other activities for the promotion of interests of its members [*i.e.*, it can be a service rendering company acting as a catalyst for improved quality of production or for development of products by research or allied activities of its members;]

(*f*) generation, transmission and distribution of power, revitalization of land and water resources, their use, conservation and communications relatable to primary produce; *i.e.*, it can be a power generating, transmitting and distributing company or a company developing/improving land and water resources including their conservation, all of which should be relatable to primary produce. Here, a company promoted with this object does not need to have as buyers/users of its output restricted to its members;

(*g*) insurance of producers or their primary produce (*i.e.*, it can be an insurance company insuring producers or their primary produce);

(*h*) promoting techniques of mutuality and mutual assistance;

(*i*) welfare measures or facilities for the benefit of members as may be decided by the Board;

(*j*) any other activity, ancillary or incidental to any of the activities referred in (*a*) to (*i*) above or other activities which may promote the principles of mutuality and mutual assistance amongst the members in any manner;

(*k*) financing of procurement, processing, marketing or other activities specified in clauses (*a*) to (*j*) above.

A producer company can be incorporated with all or any of the above objects.

3.15-4 Formation of Producer Company and its registration [Section 378C]

The following categories of people or entities will be entitled to form a producer company :

(*i*) any ten or more individuals each of whom will be a producer;

(*ii*) any two or more producer institutions;

(*iii*) a combination of ten or more individuals and producer institutions.

A 'producer' has been defined in section 378A(*k*) as "any person engaged in any activity connected with or relatable to any primary produce" and a 'producer company' has been defined by clause (*l*) of section 378A as "a body corporate having objects or activities specified in section 378B and registered as 'producer company' under the Act." A 'producer institution' has been defined in the next clause of section 378A as a producer company or any other institution having only producer or producers or producer company or producer companies as its member whether incorporated or not having any of the objects referred to in section 378B and which agrees to make use of the services of the producer company or producer companies as provided in its articles. The definitions of 'producer' and 'producer company' do not need much elaboration except that 'a producer' is not necessarily an individual and it can be any entity which in law can be considered as 'person' *e.g.* a company or a co-operative society. In other words, a producer can be an individual, a producer company or a co-operative or other society with only condition that such body must be engaged in any activity connected with or relatable to any primary produce. A 'producer company' can have as its members, co-operative societies or other legal entities apart from individuals. The definition of 'producer institution', however, is a bit complex. The term 'institution' in this context does not bear any special meaning and as such it can be an organisation or establishment devoted to the promotion of a particular object and in this case the object has to be any or all the objects with which a producer company can be registered, (the objects mentioned in section 378B). A producer institution cannot be an individual; it is to be a collective entity composed of members who may be individual or producer company. It is important to note that a producer institution, not itself being a producer company, has to have as its members only producer(s) and/or producer company(ies). A producer company itself also can be a producer institution. A producer institution, other than a producer company, can be either an incorporated body or a non-incorporated body. The only further condition to be fulfilled is that it has to have object or objects mentioned in section 378B. It seems, therefore, that even a partnership firm, a joint Hindu family, or an Association of persons or a Trust can as well be a producer institution, provided its object(s) is confined to the objects mentioned in section 378B. Also a section 8 company under the Act can be a producer company or a producer institution. If any existing section 8 company has as its objects any or all the objects in section 378B, it will automatically become a producer company or a producer institution and would be governed by the requirements of Part XXIA of the Act as well with the exception that it cannot have distribution of profit earned amongst its members.

Ordinarily, the term "institution" is associated with a 'no-profit' motive, but in case of producer institution, that is not the case. No provision of this part bars a producer institution from earning profit and distributing the same to its members. A further issue needs consideration; a producer company can be a producer institution apart from any other body that qualify to be a producer institution. What would then be distinguishing feature of a producer company becoming a producer institution ? It seems that any producer company which has other producer companies as members will only qualify to be called producer institution. However, if such a company has any other body or individual as member(s), it will remain as producer company only.

The promoting individuals/bodies of a producer company must express the desire to form such a company with object(s) specified in section 378B. They will also have to comply with the requirements of Part XXIA of the Act and provisions of the Act in respect of registration of companies. Under provisions of sections 378F and 378G, the promoters of a producer company will have to prepare the memorandum of association and articles of association, special to producer companies. The requirements are as under :

3.15-5 Memorandum of association of a producer company shall state—

(*i*) the name of the company with "Producer Company Limited" as last words of the name of such company;

(*ii*) the state in which the registered office of the Producer Company is to situate (in case the objects of the producer company are to extend beyond the state of registration, the State(s) to which the objects will extend will have to be stated);

(*iii*) the main objects of the producer company shall be one or more of the objects specified in section 378B;

(*iv*) the names and addresses of the persons who have subscribed to the memorandum ('Persons' mean individuals and Producers institutions);

(*v*) the amount of share capital with which the producer company is to be registered and division thereof into shares of fixed amounts;

(*vi*) the name, address and occupation of the subscribers being producers, who shall act as the first directors of the producer company [a reference to section 378J(2) has been made in this context which seems to be inappropriate. It should be section 378R(2);]

(*vii*) that the liability of its members is limited;

(*viii*) the number of shares each subscriber takes is mentioned opposite to the name of respective subscriber. No subscriber shall take less than one share.

3.15-6 Directors

It seems that the first directors of the producer company will be only from producers who are individuals and producer institution as such cannot be a director. Where, however, a producer company is being promoted only by producer institutions, the possible recourse would be to have required individuals acting for and on behalf of promoting producer institutions as nominee holders of shares to act as first directors. In case of an incorporated body this is already an accepted procedure but if the promoting producer institution is a non-incorporated body, the process of nomination as subscriber *cum* first director shall have to be determined by reference to its constituting document.

3.15-7 Subscription to the memorandum by non-incorporated body of producer institution

Since a non-incorporated body also can be producer institution, a mechanism needs to be evolved by reference to the constituting document of that body to sign as subscriber to the memorandum.

3.15-8 Status of a Producer Company

As per section 378C(5), a producer company on registration as such, will be treated as a private limited company under this Act, to which Part XXIA will apply even though it is not required to add the word "private" in its name or to restrict its membership to the number (*i.e.*, fifty) specified for other Private Limited Companies or to be subjected to the general requirement of a minimum of two members. So far minimum strength of members criterion is concerned, it needs to have at least two producer institutions or ten producers or a total of ten producers and producer institutions as minimum number of members to form a producer company and to carry on its activities. A producer company shall have liability of its members limited by the Memorandum to the amount, if any, unpaid on the shares respectively held by them. It will be a company limited by Shares [Section 378C(3)]. A producer company shall not be a public company under this Act. (Nor shall it be a guarantee company or unlimited company)

A member means a person or producer institution admitted as a member of a Producer company and who retains the qualifications necessary for continuance as such.

The MCA has issued the Producer Companies Rules, 2021 covering the change of place of registered office from one state to another and investment of general reserves by producer companies.*

3.15-9 Articles of Association [Section 378G]

The distinctive feature of the Articles of Association of a producer company is that the Articles have to contain certain "mutual assistance principles", apart from other relevant regulatory provisions. "Mutual assistance Principles" have been defined in clause (*f*) of section 378A as the principles set out in sub-section (2) of section 378G and they are as under :

(*i*) the membership shall be voluntary and available to all eligible persons who, can participate or avail of the facilities or services of the Producer Company, and are willing to accept the duties of membership;

(*ii*) each member shall, save as otherwise provided in Part XXI of the Act, have a single vote irrespective of the shareholding;

(*iii*) the Producer Company shall be administered by a Board consisting of persons elected or appointed as directors in the manner consistent with the provisions of Part XXIA of the Act and the Board shall be accountable to the members;

* Producer Companies Rules, 2021 vide Notification No. G.S.R. 112(E), dated 11 February 2021.

(*iv*) there shall be limited return (the maximum dividend as may be stated in the Articles) on share capital except for circumstances provided in Part XXIA of the Act;

(*v*) the surplus arising out of the operations of the producer company shall be distributed in an equitable manner by—

(*a*) providing for the development of the business of the producer company;

(*b*) providing for common facilities; and

(*c*) distributing amongst the members, as may be admissible, in proportion to their respective participation in the business;

(*vi*) provision for education of members, employees and others, on the principles of mutuality and techniques of mutual assistance shall be made;

(*vii*) the producer company shall actively co-operate with other producer companies (and other organisation following similar principles) at local, national or international level so as to best serve the interests of its members and the communities it purports to serve.

The Articles shall also contain the following provisions in terms of sub-section (3) of section 378G of the Act :

(1) the qualifications for membership, the condition for continuance or cancellation of membership and the terms, conditions and procedure for transfer of shares;

(2) the manner of ascertaining the patronage and voting right based on patronage;

(3) the manner of constitution of the Board, its powers and duties, the minimum and maximum number of directors, manner of election and appointment of directors and retirement by rotation, qualifications for being elected or continuance as such and the terms of office of the said directors, their powers and duties, conditions for election or co-option of directors, method of removal of directors and the filling up of vacancies on the Board, and the manner and the terms of appointment of the Chief Executive (as stipulated in section 378W). [When an inter-State co-operative society transforms itself as a producer company, all its directors at the time of transformation shall become and continue as directors of the producer company concerned for a period of one year from the date of the transformation;

(4) the election of the chairman, term of office of directors and the chairman, manner of voting at the general or special meetings of members, procedure for voting by directors at meetings of the Board, powers of the chairman and the circumstances under which the chairman may exercise a casting vote;

(5) the circumstances under which and the manner in which, the 'withheld price' is to be determined and distributed ['withheld price' means part of the price due and payable for goods supplied by any member to the producer company and as withheld by the producer company for payment on a subsequent date - Section 378A(*n*)].

Note : Since a producer company can engage in providing service also [*vide* section 378A(j)(*v*)], it seems that no part of service charge can be withheld by a producer company. Right to withhold is confined to 'price of goods supplied';

(6) the manner of disbursement of patronage bonus in cash or by issue of equity shares or both; (A producer company can have only equity share capital - *vide* section 378ZB of the Act);

'Patronage bonus' means payments made by a producer company out of its surplus income to the members in proportion to their respective patronage. The word "patronage", in turn, means the use of services offered by the producer company to its members by participation in its business activities [*vide* clauses (*h*) and (*i*) of section 378A];

(7) the contribution to the shared and related matters [in the event of a producer company not being in a position to transfer requisite sum(s) to the reserves (including the general reserve) as may be specified in the Articles, the shortfall will have to be shared by the members in proportion to their patronage in the business of the producer company of that year. This sharing is the "contribution"];

(8) the matters relating to the issue of bonus shares out of general reserve of the producer company;

(9) the basis and manner of allotment of shares of the producer company in lieu of the whole or part of sale proceeds of produce or products supplied by the members;

(10) the amount of reserves, sources from which funds may be raised, limitation on raising of funds, restriction on the use of such funds and the extent of debt that may be contracted and the conditions thereof;

(11) the credit, loans or advances which may be granted to a member and the conditions for the grant of the same;

(12) the right of any member to obtain information relating to general business of the company;

(13) the basis and manner of distribution and disposal of funds available after meeting liabilities in the event of dissolution or liquidation of the producer company;

(14) the authorization for division, amalgamation, merger, creation of subsidiaries and the entering into joint ventures and other matters connected therewith;

(15) laying of the Memorandum of Association and Articles of Association of the Producer Company before a special general meeting to be held within ninety days of its registration; and

(16) any other provision, which the members may, by special resolution recommend to be included in articles, *e.g.*, members' or others' right of inspection of books, registers and records, etc.

3.15-10 Registration of Producer Company

According to section 378C, upon receipt of the memorandum and the articles along with any other relevant document of the producer company for registration and after examining their contents if the Registrar is satisfied that all the requirements of the Companies Act have been complied with in respect of registration of the producer company, including matters precedent and incidental thereto, he shall, within thirty days of the receipt of the documents lodged for registration, register the memorandum, the articles and other documents, if any, and issue a certificate of incorporation to the producer company.

Reimbursement of Promoters

On incorporation, the producer company may reimburse to its promoters all the direct costs associated with promotion and registration of the company. These costs include registration fees, legal fees and the cost of printing of the memorandum and the articles. This reimbursement can be made only with the approval of the first general meeting of the producer company.

Liability of Members

A Producer Company so formed shall have the liability of its Members limited by the memorandum to the amount, if any, unpaid on the shares respectively held by them and be termed a company limited by shares.

3.15-11 Amendment of Memorandum and Articles of Association of a producer company

Sections 378H and 378-I contain requirements to be fulfilled for amending memorandum and articles of the producer company. A producer company may, by special resolution, not inconsistent with section 378B (objects of a producer company), alter its objects specified in the memorandum. A copy of the memorandum as amended, together with a copy of the special resolution duly certified by two directors, shall be filed with the Registrar within thirty days from the date of adoption of the resolution. With a view to alter the Memorandum so as to change the address of the producer company, from the jurisdiction of one Registrar to the jurisdiction of another Registrar, a special resolution will have to be passed and copies of the special resolution certified by two directors of the producer company shall be filed with both the Registrars, presumably with copies of the altered memorandum within thirty days. Each Registrar will record the same and thereafter it will be the responsibility of the Registrar from whose jurisdiction the address (the place) has been shifted to forthwith forward to the other Registrar all the documents with him relating to the producer company concerned. In case the change involves shifting of the producer company from one state to another, the confirmation of the Central Government is necessary.

Unlike the process of amendment of the memorandum, section 378-I requires a proposal by either at least two-third of the elected directors or at least one-third of the members of the producer company to amend any clause of the Articles of the company. The proposal as above has to be approved by a special resolution of the members. A copy of the amended Articles together with the copy of the special resolution, duly certified by two directors, is required to be filed with the Registrar within thirty days from the date of its adoption.

3.15-12 Benefits to Members [Section 378E]

(*i*) Every member shall initially receive only such value for the produce or products supplied and pooled as the Board of the producer company may determine. This determination shall have to be made in accordance with the provision made in the Articles in this behalf. The price not paid then (withheld price) may later be disbursed in cash or in kind or by allotment of equity shares, in proportion to the produce supplied to the producer company during the financial year. The extent of the payment or settlement of the withheld price shall be decided by the Board along with the manner and condition thereof. This provision implies that the Board of the Producer Company may not pay the full withheld price.

(*ii*) On the share capital, the members are entitled to only a limited return as provided in the Articles.

(*iii*) Members may receive bonus shares of the producer company in accordance with the provisions of section 378ZJ. Necessary clause in this regard need to be in the Articles. Section 378ZJ authorises a producer company to issue bonus shares by capitalisation of amounts from general reserve, in proportion to the shares held by the members on the date of the issue. However, the issue of the bonus shares as above should be approved by members in a general meeting provided the Board has made a recommendation to that effect. The Articles may provide for the type of resolution needed for this purpose. However, if the Articles do not contain any clause on issue of bonus shares, the Articles have to be first amended before passing the appropriate resolution.

(*iv*) Patronage bonus may be paid to the members by the producer company out of any surplus left after making provision for payment of limited return and creation of any reserves mandated by section 378ZI. If the company decides to pay patronage bonus to members, it should be in proportion to their participation in the business of the producer company and may be paid either in cash or by way of allotment of shares, or both as may be decided by the members in the general meeting. Here again, the Articles must have clause enabling the producer company to pay patronage bonus.

3.15-13 Voting rights of members of a producer company

Section 378D specifies that :

(*i*) Where membership consists of individual producers only every member shall have a single vote, irrespective of his shareholding or patronage.

(*ii*) Where membership comprises of only producer institutions, such members shall enjoy voting rights on the basis of their participation in the business of the producer company in the previous year, as may be specified in the Articles. However, when the producer company did not exist in the previous year *i.e.*, in the first year of its operation, the voting rights of these members shall be determined on the basis of their respective shareholding.

(*iii*) Where membership comprises of both individual producers and producer institutions, the voting rights shall be computed on the basis of a single vote for every member irrespective of whether he/it is an individual or institution.

(*iv*) The Articles of the producer company may provide for the conditions, subject to which, a member may continue to retain his/its membership as also the manner in which voting rights shall be exercised by the members.

(*v*) Subject to authorization by the Articles, a producer company may restrict the voting rights to 'active members' only in the general or special meeting

> of members. An 'active member' has been defined in clause (*a*) of section 378A as "a member who fulfils the quantum and period of patronage of the producer company as may be required by the Articles". This means that if the articles so provide any member whether an individual or an institution can be denied voting rights altogether, if he/it fails to fulfil the criteria of "active member".

Therefore, though perhaps not intended to be the shares with differential rights as to dividend, voting or otherwise as included in section 86 of the Act, it is clear that a Producer Company may render certain shares as non-voting shares through its articles.

3.15-14 Membership and conflicting business interest

No person, who has any business interest which is in conflict with business of the producer company, can become a member of that company. Further, if he acquires any conflicting business interest after becoming member of a producer company, he will cease to continue as such member and be removed from membership in accordance with the Articles of the company.

3.15-15 Transformation of Cooperative Societies into Producer Company [Sections 378J-378N]

Section 378C provides the basic mechanism for formation of producer company in which ten individual producers or two producer institutions or a combination of them numbering not less than ten can form a producer company. However, provisions of section 378J enable an inter-State cooperative society (hereinafter "society") also to become a producer company. Clause (*e*) of section 378A defines "inter-State cooperative societies" as "a multi-State cooperative society" as defined in clause (*k*) of section 3 of the Multi-State Cooperative Societies Act, 1984 and includes any cooperative society registered under any other law for the time being in force, which has, subsequent to its formation, extended any of its objects to more than one State by enlisting the participation of persons or by extending any of its activities outside the State, whether directly or indirectly or through an institution of which it is a constituent. Clause (*k*) of section 3 of the Multi-State Cooperative Societies Act, 1984 defines a multi-State cooperative society as under :

> "It means a society registered or deemed to be registered under this Act and includes a national cooperative society."

Any inter-State cooperative society with objects not confined to a single state make an application to the Registrar of Companies (RoC) for registration as a producer company. The application has to accompany the following :

(*a*) a copy of special resolution (at least 2/3rd of the total number of members of the cooperative society voting for it) approving for its incorporation as a producer company under the Companies Act, 2013;

(*b*) statements showing/containing/indicating - (*i*) names and addresses or (should be 'and') the occupation of the directors and Chief Executive Officer, if any, by whatever name called, (*ii*) list of members of the cooperative society concerned, and (*iii*) that the inter-State cooperative society is engaged in any one or more of the objects specified for a producer company in section 581B of the Act; and (*c*) a declaration by two or more directors of the society concerned certifying that particulars given in (*a*) and (*b*) above are correct.

The ROC on receipt of application seeking conversion of a Cooperative Society (society not registered as the Multi State Society) into a Producer Company, will require the applicant society to file written consent from the local Cooperative Department of the concerned State certifying that the Society desirous of being converted into Producer Company, under Part XXIA of the Companies Act, 2013, has no dues payable to the State at the time of such conversion and the Cooperative Department has 'no objection' to its being converted into a Producer Company under the Companies Act, 2013. Further, the ROC must satisfy himself fully that the applicant society has indeed extended its activities to other State/(s).

Upon registration as a producer company, the society shall have to have its name with "Producer Company Limited" as last words. It may retain its old name without the words implying cooperative society. It may also evolve any word or expression to precede the words "producer company limited" that would identify itself to its earlier co-operative status. The Registrar, within thirty days of the receipt of application for registration, complete in all respects, and having found it in compliance with the laid down requirements, shall certify under his hand that the applicant inter-State cooperative society has been incorporated as a producer company under Part XXIA of the Companies Act, 2013. Apart from an inter-State cooperative society, a cooperative society formed by (*i*) Producers, (*ii*) by Federation or Union of cooperative societies of producers, (*iii*) co-operatives of producers, registered under any law for the time being in force which has extended its objects outside the State, either directly or through a union or Federation of cooperatives of which it is a constituent, or (*iv*) any Federation of Unions of such cooperatives, which has extended its object or activity outside the State, shall be eligible to make application for registration as a producer company [clause (5) of section 378J]. Therefore, this facility of registration as a producer company, though basically is available to producers or producer institutions, has been extended to (*a*) inter-State co-operative societies and (*b*) co-operative societies formed by producers or co-operative societies formed by union or Federation of cooperative societies of producers or existing co-operative societies of producers or any Federation of Unions of such cooperative society provided they are registered cooperative societies in the cases of cooperative society and have extended their objects and activities beyond the geographical boundary of their state of registration. The key-points to be noted in this regard is that the applicant has to be a registered cooperative society or a Federation of Unions of cooperative societies, its primary constituent or members must be 'producer' as defined in this Part and it must have extended its objects and activities outside the state of its registration/location as such society or Federation. Section 378J as such does not require filing of any memorandum or articles of association by the transforming inter-state cooperative society.

3.15-16 Effect of incorporation of producer company

Under section 378K, every shareholder of the inter-State cooperative society immediately before the date of registration of the producer company (*i.e.*, the transformation date) shall be deemed to be registered shareholder of the producer company to the extent of the face value of the shares held by such shareholder in the cooperative society. It seems that the applicant cooperative society will not be able to admit any new member or effect any transfer of its shares after making the application to become a producer company as such act may bring complications of deeming the initial members of the producer company.

Section 378L deals with further consequences that follow on transformation of an inter-State cooperative society into a producer company. On the transformation date—

(*i*) all properties and assets, movable and immovable, of, or belonging to the transforming cooperative society shall vest in the producer company;

(*ii*) all the rights, debts, liabilities, interests, privileges and obligations of the society shall stand transferred to, and be the corresponding rights, liabilities etc. (as above) of the producer company;

(*iii*) all debts, liabilities and obligations incurred, all contracts entered into and all matters and things engaged to be done by, with or for the society as on the transformation date for or in connection with their purposes, shall be deemed to have been incurred or entered into, or engaged to be done by with or for the producer company;

(*iv*) all sums of money due to the society immediately before the transformation date shall be deemed to be due to the producer company;

(*v*) every organisation which was being managed by the society immediately before the transformation date shall be managed by the producer company, for such period, to such extent and in such manner, as the circumstances may require;

(*vi*) every organisation which was getting financial, managerial or technical assistance from the society immediately before the transformation date, may continue to be given the same assistance by the producer company, for such period, to such extent and in such manner, as the company may deem fit;

(*vii*) the amount representing the capital of the erstwhile society shall form part of the capital of the producer company;

(*viii*) any reference to the inter-State cooperative society (the society) in any law other than the Companies Act, 2013 or in any contract or other instrument, shall be deemed to be reference to the producer company; and

(*ix*) any pending legal suit, arbitration, appeal or other legal proceedings of whatever nature by or against the society, shall not get abated, or discontinued, or anyway prejudicially affected by reason of incorporation of and consequent transformation into producer company, and the same may be continued, prosecuted and enforced by or against the producer company in the same manner and to the same extent as it would have or may have been continued, prosecuted and enforced by or against the society, as if the provisions contained in Part XXI of the Companies Act, 2013 had not come into force.

It may be noted that the consequences (*i*) to (*ix*) above, except (*v*) and (*vi*) are absolute in their very nature. Though the responsibilities of the society contained in (*v*) and (*vi*) devolve upon the producer company immediately on transformation, the producer company has been given the flexibility to determine the duration of the responsibility, extent of the responsibility and the manner of discharging the responsibility on such devolution. In other words, the producer company has to take stock of these responsibilities taken by the society keeping in view its own position and limitations. It cannot bind itself indefinitely to the responsibilities. However, determination shall be done on a fair and reasonable basis.

3.15-17 Officers and other employees of the society [Section 378N]

All the directors in the inter-State co-operative society before the incorporation of the Producer Company shall continue in office for a period of one year from the date of transformation and in accordance with the provisions of this Act.

Status of a Private Company

On registration under sub-section (2), the Producer Company shall become a body corporate as if it is a private limited company to which the provisions contained in this Chapter apply, without, however, any limit to the number of Members thereof, and the Producer Company shall not, under any circumstance, whatsoever, become or be deemed to become a public limited company under this Act.

On and from the transformation date all the serving employees and officers of the society shall become employees and officers of the corresponding producer company.

These officers (excluding directors, chairman and managing director) and other employees shall retain all the rights, privileges, obligations, benefits, tenure etc. as were with them in the society immediately before the transformation date. These include remuneration, other terms and conditions of employment, right to leave and leave travel concession, welfare measures, medical benefit schemes, insurance, provident fund, other funds, retirement, voluntary retirement, gratuity and duties. Any unrevoked contract or agreement with the officers and employees of the society on the date of transformation shall also survive including a situation where certain benefits are to be extended on a future date. Any officer (excluding directors) or employee may opt out from becoming officer or employee of the corresponding producer company and such persons shall be deemed to have resigned. This transformation, notwithstanding anything contained in the Industrial Disputes Act, 1947 or any other law then in force, will not give such officers or employee any right to compensation on their services being transferred to the corresponding producer company. No court of law or tribunal or other Authority shall entertain any such claim. However, employees or officers of the society who had retired from the services of the society before the transformation date will retain their rights, benefits, etc. *e.g.* pension or gratuity, and the corresponding producer company will take the position of the society in discharging these obligations. Similarly, any trust created by the society for provident fund or gratuity or other similar benefit and any other bodies created for welfare of the employees and officers of the society, shall continue to exist and discharge functions assigned to them under the umbrella of the producer company. Any tax exemption enjoyed by the Provident Fund or the Gratuity Fund will also survive under the producer company. Any officer of the society (including any director) entrusted to manage the whole or substantial part of business and affairs of the society under any law or the regulations governing the society will be entitled to any compensation from the society or the corresponding producer company for loss of office or the premature termination of contract of management, if any takes place, as a result of the transformation.

Section 378-O provides for floor and ceiling in respect of number of directors in a corresponding producer company. The minimum and maximum numbers are five and fifteen respectively. However, if a society which gets transformed into a producer company, had more than fifteen directors on the transformation date, the corresponding producer company, inspite of the aforesaid requirement, shall have all the directors on its Board (*i.e.*, exceeding the number of 15) for a period of one year from the date of incorporation of the producer company. This is also a beneficial provision and allows the newly incorporated Producer Company time to adjust its position suitably so that on expiry of aforesaid one year, the number of directors can be brought within the limits set by section 378-O. Neither this section nor any other section provides for a situation where the society had less than five directors immediately before transformation. In such a situation, obviously, those who were then directors of the society will become directors of the producer company and to meet the shortfall in number the Board may co-opt one or more expert directors or additional director(s) as may be necessary and for such period as the Board would then determine, subject to the Articles. This right of co-option is available in all situations and is not necessarily restricted to a situation to meet the shortfall. Ordinarily, however, the number of directors co-opted as above cannot exceed one fifth of the pre-co-option strength of the Board. The co-opted directors shall not have any vote in the matter of the election of the Chairman of the Board. Nevertheless, they are eligible to be elected to the office of the chairman if so allowed by the Articles.

3.15-18 Transfer of existing benefits, etc. on transformation

A further favourable consequence of transformation is contained in section 378M which provides for transfer of all the existing benefits, fiscal and other concessions, licences, privileges and exemptions with the society to the corresponding producer company with effect from the transformation date. These benefits, concessions, etc. should relate to the affairs and business of the society and should have been granted under any law, which was then in force.

3.15-19 Appointment of Directors and their tenure (Section 378P)

Except the case of transformation of an inter-State cooperative society into a producer company, the members of the society who sign the Memorandum and Articles of the producer company may designate therein the Board of directors comprised of not less than five members (obviously not exceeding fifteen members) to govern the affairs of the producer company until the directors are elected. The election of directors shall be conducted within a period of ninety days of the registration of the producer company. (In case of transformation of a society into registered company this period is one year *i.e.*, 365 days). Every director so elected shall hold office for a period of not less than one year and not more than five years, as may be specified in the Articles. Every director who retires in accordance with the provisions in the Articles shall be eligible for re-appointment as a director. Except the case of election of directors for the interim period *i.e.*, within ninety days as stated above, the directors of the Board shall be regularly elected or appointed by the members in the annual general meeting.

3.15-20 Vacation of office by directors of a producer company [Section 378Q]

In case of a producer company a director vacates his office if any of the following happens—

(*a*) He is convicted by a Court of any offence involving moral turpitude and sentenced in respect thereof to imprisonment for not less than six months.

(*b*) The producer company in which he is a director has made a default in repayment of any advances or loans taken from any company or institution or any other person and such default continues for ninety days. This ground appears to be a serious one for the producer company concerned. By virtue of the provision all the directors will vacate the office at a time (and vacation of office is always automatic) and there will not be any Board, on happening of this default; no safeguard seems to have been provided in this respect in Part XXIA of the Act.

(*c*) He has made a default in respect of any advances or loans taken from the producer company in which he is a director.

(*d*) The producer company, in which he is a director has—

(*i*) not filed the annual accounts and annual return for any continuous three financial years commencing on or after the first day of April, 2002, or

(*ii*) failed to, repay its deposit or withheld price or patronage bonus or interest thereon, on due date, or pay dividend and such failure continues for one year or more;

(*e*) Default is made in holding election for the office of director in the producer company concerned, in accordance with the provisions of this Act and the Articles (section 283 does not contain any such ground); same observation as has been made in respect of (*b*) and (*d*) above, will apply in this case also. [It is important to note that the word 'default' as has been used, is not confined to non-holding of election alone but covers even holding the election but not following the requirements of the Companies Act and the Articles.]

(*f*) The annual general meeting or extraordinary general meeting of the producer company concerned, is not called in accordance with the provisions of the Act except due to natural calamity or such other reason (same observation as regards vacation resulting into non-existence of the Board will apply). Here the incidence is with reference to 'non-calling' and not 'non-holding'. Apart from the clear case of non-calling of these meetings, even a defect in calling these meetings may attract this clause).

These grounds are also applicable to the directors of a producer institution which is a member of the producer company concerned. More specifically, defaults of the company mentioned in (*b*), (*d*), (*e*) and (*f*) above will result in vertical incidence on the directors of the member producer institution, rendering the institution director less. However, sub-section (2) of this section under which directors of the member producer institution get hit contains the words "as far as may be" implying that there will not be unqualified incidence of vacation. But what that will be can be known only from clarification/judicial interpretation.

3.15-21 Powers and functions of the Board [Section 378R]

The general powers of the Board of a producer company are similar to the general powers of the Board of other companies as provisions of section 378R and section 291 of the Act are broadly similar. Section 378R(2) has specified certain powers for exercise by the Board. The Board of a producer company shall exercise all the powers (general and specific) it has for and on behalf of the company only in meetings of the Board.

The specific powers are as under :

(*i*) determination of the dividend payable and quantum of withheld price;

(*ii*) determination of quantum of withhold price and recommendation of patronage bonus for consideration and approval in general meeting;

(*iii*) admission of new members;

(*iv*) formulation and pursuing of the organizational policy and objectives including specific long term and annual objectives;

(*v*) approval of corporate strategies and financial plans;

(*vi*) appointment of a Chief Executive Officer (CEO) and such other officers as may be specified in the Articles;

(*vii*) exercising of superintendence, direction and control over CEO and other officers appointed by it (for the producer company);

(*viii*) causing proper books of account to be maintained, preparation of annual accounts to be placed before the annual general meeting with the auditor's report thereon and the replies to the auditor's qualifications, if any, in the report;

(*ix*) acquisition or disposal of property of the producer company and investment of the funds of the producer company, in the ordinary course of business;

(*x*) sanctioning any loan or advance, in connection with business activities of the producer company, to any member of the producer company, who is not a director of the producer company or his relative (since the word 'relative' has not been defined for the purpose of Part XXIA of the Act, the definition of 'relative' as appears in Schedule 1A of the Act will apply); [it seems, making loans and advances for business of the producer company to anybody other than a member of the producer company is not permissible in the normal context. Section 292 of the Companies Act specifically empowers the Board of other companies to make loans. Here such specific empowerment is absent];

(*xi*) investment of the funds of the producer company in the ordinary course of business; and

*Investment of general reserves**. –

A Producer Company shall make investments from and out of its general reserves in any one or in combination of the following, namely:— (*a*) in approved securities, fixed deposits, units and bonds issued by the Central Government or State Governments or co-operative societies or scheduled bank; or (*b*) in a co-operative bank, State co-operative bank, co-operative land development bank or Central co-operative bank; or (*c*) with any other scheduled bank; or (*d*) in any of the securities specified in section 20 of the Indian Trusts Act, 1882 (02 of 1882); or (*e*) in the shares or securities of any other inter-State co-operative society or any co-operative society; or (*f*) in the

* *Vide* MCA Notification dated 11 February, 2021.

shares, securities or assets of public financial institutions specified under clause (72) of section 2 of the Act.

(*xii*) taking such other measures or to do such other acts as may be required in the discharge of its functions or exercise of its powers.

Persons who are not validly holding the position of directors of a producer company, acting individually or as a group (read Board) cannot exercise any of the powers of the Board.

3.15-22 Committee of Directors [Section 378U]

The Board of a producer company may constitute such number of committees as it may deem fit for the purpose of assisting the Board in the efficient discharge of its functions. However, it cannot delegate any of its powers to any committee it constitutes. Similarly, the Board cannot assign any of powers of the CEO to any of its Committee.

A committee constituted as above, may with the approval of the Board, co-opt such number of persons as it deems fit as members of the committee. It appears that the CEO may be a member of the committee apart from other directors. It is not clear from the provisions of section 378U, whether a co-optee to a committee can be anybody other than the directors or the CEO.

A committee once formed shall function under the general superintendence, direction and control of the Board, for such duration and in such manner as the Board may direct. It seems, therefore, the committees will have tenures as may be decided by the Board and there will be no standing committee. The fee and allowances of the members of the committee shall also be prescribed by the Board. The minutes of the meetings of the committee(s) will have to be placed before the meeting of the Board held next.

3.15-23 Meetings of the Board and Quorum [Section 378V]

At least one Board meeting shall be held in a period of three months and at least four such meetings shall be held in one year.

Notice for the Board meeting shall be given in writing to every director of the producer company including those for the time being in India, at his usual address in India. In other words, if any director is not ordinarily residing in India, he would be given the notice only when he is in India to the knowledge of the producer company.

The responsibility of issuing the notice rests with the CEO. He is to issue the notice at least seven days prior to the date of the meeting. In case of failure to issue the notice, he shall be liable to a penalty of rupees five thousand. Convening a Board meeting at a notice shorter than seven days may be possible provided the reasons for the same are recorded in writing by the Board. It is possible that in a meeting of the Board, a decision is taken and recorded in the minutes of that meeting for calling the next Board meeting at a shorter notice. Alternatively, even the Board may ratify a Board meeting called at a shorter notice in the meeting itself and record the same in the minutes.

Quorum for a Board meeting, shall be one-third of the total strength of the Board, subject to a minimum of three directors. The directors including the co-opted director, if any, may be paid such fees and allowances for attendance at the Board meetings, as may be decided by the members in the general meeting.

These provisions are similar to the provisions contained in sections 285, 286 and 287 of the Companies Act applicable to other companies with such modifications as are called for a producer company *e.g.* the notice for Board meeting is to be issued by the CEO (a designated officer in Part XXIA of the Act), and the minimum number to form the quorum is three for producer company as against two in cases of other private companies.

3.15-24 Liability of directors [Section 378T]

Any resolution passed or any thing done by the directors in contravention of the provisions of this Act, or any other law for the time being in force or of the Articles, invites liability to such directors who passed the resolutions or who acted in aforesaid manner. These directors will be jointly and severally liable to make good to the producer company any loss or damage suffered by it in consequence of such resolution or action. More specifically the producer company has the right of recovery against its director(s) where he or they have made personal profit as a result of the resolution or action as aforesaid, the amount of the profit. In a situation where the producer company has suffered any loss or damage (irrespective of whether there was personal profit for directors) as a result of the contravention, the amount of the loss or damage is recoverable by the company from its contravening directors. This liability of the directors of a producer company is in addition to and not in derogation of the liability imposed on a director under the Companies Act or any other law for the time being in force.

3.15-25 Chief Executive Officer (CEO) and his functions [Section 378W]

Every producer company is required to have one full time executive officer to manage and carry on the activities of the company. While the designation Executive officer has been stipulated by the Act, he may have any designation provided his responsibilities and functions are those which are provided in the Act. He, who will have to be a non-member, would be appointed by the Board of the producer company concerned. The CEO shall be ex-officio director of the producer company and will not retire by rotation.* The articles of the producer company may specify the qualifications, experience and the terms and conditions of the service of the CEO. In the absence of any such provision in the Articles, the Board of the producer company shall fix these specifications. The CEO shall be entrusted by the Board with substantial power of management, as may be determined by it. Within the ambit of this, the CEO may exercise the powers and discharge the functions as are provided by section 581W(5). They are as under :

(*a*) administrative acts of a routine nature including management of day-to-day affairs of the company;

(*b*) operation of bank accounts or entrusting this job to any other person (obviously in employment of the company), subject to the general or special approval of the Board;

(*c*) arrangement for safe custody of cash and other assets of the producer company;

(*d*) signing such documents as may be authorized by the Board, for and on behalf of the company;

(*e*) maintaining proper books of account and preparation of annual accounts of the company and getting these audited;

(*f*) placing the audited annual accounts before the Board and the members in general meeting;

(It is not expected that the CEO will do the auditing as there is an inherent conflict of interest situation. Unfortunately the language used in the law does not bring out the possible intention);

(*g*) furnishing the members with periodic information to apprise them of the operation and functions of the company;

(*h*) making appointments of officers and employees for the company in accordance with powers delegated by the Board;

(*i*) assisting the Board in the formulation of goals, objectives, strategies, plans and policies;

(*j*) advising the Board with respect to legal and regulatory matters relating to proposed and on-going activities of the company and taking necessary action thereon;

(*k*) exercising the powers as may be necessary in the normal course of business;

(*l*) discharging such other functions and exercising such other powers, as may be delegated by the Board.

The CEO shall manage the affairs of the producer company under the general superintendence, direction and control of the Board and shall be accountable for the performance of the producer company.

3.15-26 Secretary of Producer Company [Section 378X]

Every producer company having an average annual turnover exceeding rupees five crore in each of the three consecutive financial years shall appoint a whole-time secretary.

The incumbent to the position of the whole-time secretary of a producer company shall have to be a member of the Institute of Company Secretaries of India.

3.15-27 General Meetings [Sections 378ZA, 378S, 378Y and 378Z]

The provisions relating to general meetings of a producer company broadly conform to the corresponding provisions in the Act as regards other companies. However, departures are there where they are needed in the context of a producer company.

Annual General Meeting (AGM) - Conforming to the language used in section 166 of the Act, this new provision (Section 378ZA) has been drafted. Every producer company shall, in each year hold, in addition to any other meetings, a general meeting, as its AGM and shall specify the meeting as such in the notice calling it. Not more than fifteen months shall elapse between the date of one AGM and the next. Registrar (ROC), may, for any special reason, permit extension of this time by a period not exceeding three months except for the first AGM. A producer company shall hold its first AGM within a period of ninety days from the date of its incorporation. It may be noted that other companies are allowed time upto eighteen months instead of three months (90 days). Section 378P(2) in the context of directors, allows a period of ninety days, for the first Board of the producer company and before expiry of ninety days (*i.e.*, first ninety days after incorporation), the regular Board has to be elected (by the members). Section 581P(2) has a three hundred sixty five days time frame for the first Board of a company which was formed by transforming an inter-state cooperative society into a producer company. It seems that the requirement to hold the first AGM of a producer company within ninety days of its incorporation follows the requirement of section 378P(2). However, no separate mention of the first AGM of a transformed producer company has been mentioned in section 378ZA. As such, though such a company will hold its first AGM within ninety days of its transformation, it will not be required to elect a regular Board in that meeting. It will have to constitute a regular Board within one year of its transformation by a process of election in the next AGM, which has to be held within one year of its transformation. In other words, for a transformed producer company the time gap between the first and the second AGMs will be not more than two hundred and seventy five days.

Sub-section (3) of section 378ZA requires the members to adopt the Articles of the company and appoint the members of the Board in the AGM (presumably refers to first AGM although appointment of directors will thereafter be recurring feature of subsequent AGMs). This requirement about appointment of directors will not apply to a transformed producer company as it has a period of 365 days for the purpose.

Section 378S specifies certain matters to be transacted at a general meeting to give necessary powers to the Board. They are—

(*a*) approval of budget and adoption of annual accounts of the producer company;

(*b*) approval of patronage bonus;

(*c*) issuing of bonus shares;

(*d*) declaration of limited return and distribution of patronage;

(*e*) specifying the condition and limits of loans that may be sanctioned by the Board to any director; and

(*f*) approval of any transaction of the nature as is to be reserved in the Articles for approval of members.

None of these except (*e*) and (*f*) and approval of budget can figure in the agenda of the first AGM.

Notice of the AGM - The notice calling the AGM shall be accompanied by the following documents—

(*i*) agenda of the AGM;

(*ii*) minutes of the previous AGM or the EGM, if any held;

(*iii*) the names of the candidates for election, if any, to the office of the director including a statement of qualifications in respect of each candidate (Part IXA does not specify any qualification except share qualification for the office of the director of a producer company. Therefore, this statement is expected to contain the normal matters like academic qualification, experience, etc.);

(*iv*) the audited balance sheet and profit and loss account of the producer company and its subsidiary, if there be any, together with a report of the Board, with respect to :

  (*a*) state of affairs of the producer company;

  (*b*) amount proposed to be carried to reserve(s);

(*c*) amount to be paid as limited return on share capital;

(*d*) amount proposed as patronage bonus;

(*e*) material changes and commitments, if any, affecting the financial position of the producer company and its subsidiary, if any, which have occurred between the dates of annual accounts of the producer company and the date of the report of the Board (*i.e.* subsequent event of material nature);

(*f*) any other matter of importance relating to energy conservation, environmental protection, expenditure or earnings in foreign exchange; and

(*g*) any other matter which is required to be, or may be, specified by the Board,

(*v*) the text of the draft resolution for appointment of auditors; and

(*vi*) the text of the draft resolution proposing amendment to the Memorandum or Articles to be considered at the general meeting, along with recommendation of the Board.

Every AGM shall be called, for a time during business hours, on a day that is not a public holiday and shall be held at the registered office of the producer company or at some other place within the city, town or village in which the registered office of the company is situated.

3.15-28 Period of Notice

Not less than fourteen days notice in writing is required to convene a general meeting including the AGM (contrast this with section 171 of the Act requiring 21 days' notice).

3.15-29 Contents of the Notice and Circulation of the notice

The notice of the general meeting indicating the date, time and place of the meeting shall be sent to every member and auditor of the producer company.

3.15-30 Quorum and Voting Rights

Unless the Articles provide for a larger number, one-fourth of the total number of members, shall be the quorum for the AGM of a producer company as well as of any other general meeting (*vide* section 378Y). Section 378Z states that subject to the provisions of sub-sections (1) and (3) of section 378D, every member shall have one vote and in the case of equality of votes, the chairman or the person presiding shall have a casting vote except in the case of election of the chairman. As regards the voting rights we may note : (1) where individual is a member of the producer company, he has one vote irrespective of the size of his holding, (2) where both individuals and producer institutions are members - single vote for every member, (3) where membership is confined to producer institutions only, in the first year of registration of the company the voting rights shall be based on the size of the shareholdings of the member institutions and in the following years it will be based on participation by the respective institutions in the business of the producer company in the previous year (as may be specified in the Articles), (4) a producer company, may, if authorized by Articles, restrict the voting rights to active members of the producer company, and (5) casting vote can be cast by the presiding member (chairman) in case of equality of votes on any resolution (except for election of the Chairman).

3.15-31 Filing of documents following AGM with ROC [sub-section (10) of section 378ZA]

The proceedings of every AGM shall be filed by the producer company with the ROC within sixty days of the date of holding the AGM along with—

(1) Director's report,

(2) Audited balance sheet and the profit and loss account, and

(3) The annual return.

Applicable fee for the filing should accompany the documents.

3.15-32 Producer institution as member

A producer institution which is a member of the producer company shall be represented by its chairman or the CEO in the general meeting. However, such a person must be competent to act as such. This means that the concerned institution must have authorized that person in writing so to attend and represent. The producer institution will forfeit this right if the producer company concerned in which the institution is a member has made defaults mentioned in clauses (*d*) to (*f*) of section 378Q(1) discussed earlier. This forfeiture of right appears to be acting in opposite direction. While efforts should be there to strengthen the company so that defaults are cured, it will act to make things more difficult.

3.15-33 Extraordinary General Meeting on Requisition [Section 378ZA(5)]

A producer company has the right to convene general meetings between two AGMs as and when the Board of the company feels necessity for the same. However, the company's Board shall, on the requisition made in writing and duly signed by one-third of members entitled to vote in the general meetings, proceed to call an extra-ordinary general meeting in accordance with provisions of sections 169-186 of the Act (applicable to other companies. The requisitioning members have to set out the matters for consideration at that meeting. In other words, all requirements for holding a general meeting as contained in sections 171 to 186 shall apply for holding the requisitioned general meeting. Section 378ZA(7) requires fourteen days notice for holding every general meeting of the producer company.

3.15-34 Share capital, special rights, bonus shares, transfer and transmission (Sections 378ZB to 378ZD and 378ZJ)

As has been mentioned earlier, a producer company can issue equity shares only to raise its share capital. Shares shall be issued, as far as practicable, to the members in proportion to their patronage of the producer company concerned. Beside equity shares, a producer company, if allowed by its articles, may issue instruments embodying 'special rights', to its active members. The special rights instrument issued to an active member is transferable to another active member, subject to prior approval of the Board. The expression special rights' means any right relating to supply of additional produce by the active member, or any other right relating to his produce, conferred upon him by the Board. This may take the form of higher consideration for the produce supplied or a right of priority to make the supply to the producer company.

3.15-35 The shares of a producer company has limited transferability

A member may transfer whole or part of his share holding, along with special rights, if any, to only an active member at par value, with prior approval of the Board. No other means of transfer is available to a member of the producer company. However, the nominee of a deceased member, shall become entitled to all the rights in the shares of the deceased and the Board of the producer company shall transfer such shares to the nominee appointed by the member concerned. Every member of a producer company is required to nominate a person to whom his share shall vest in the event of his death. This nomination has to be made within three months of a person becoming member of the producer company, in the manner specified in the Articles. In case the nominee is not a producer, then the Board of the producer company shall direct the nominee to surrender the shares along with special rights, if any, to the company, at par value or such other value as may be determined by the Board. The Board of a producer company can require the surrender of shares along with special rights, if any, from any member of the company, by serving on him a written notice and giving him an opportunity of being heard. The Board can exercise the right where it is satisfied that the concerned member has ceased to be a primary producer or has failed to retain his qualifications for becoming a member, in terms of the Articles of the company.

3.15-36 Issue of bonus share

On the basis of recommendation of the Board and by passing a resolution in the general meeting, a producer company may issue bonus shares by capitalisation of amounts lying in general reserves, in proportion to the respective shareholding of the members on the date of the issue.

3.15-37 Finance, Accounts and Audit (Sections 378ZE to 378ZI)

Every producer company shall keep at its registered office proper books of account with respect to—

(*a*) all sums of money received and expended by the producer company and the matters in respect of which the receipts and expenditure take place;

(*b*) all sales and purchases of goods by the producer company;

(*c*) the instruments of liability executed by or on behalf of the producer company;

(*d*) the assets and liabilities of the producer company; and

(*e*) in case the producer company is engaged in production, processing and manufacturing, the particulars relating to utilization of materials or labour or other items of costs.

The above broadly conforms to the provisions of section 209 in the matter of 'Proper books of account' that any other company is required to keep. So far cost records are concerned, mining activity has not been envisaged for a producer company.

The balance sheet and the profit and loss account shall be prepared by the producer company (based on the books of account maintained), in accordance with the provisions of section 129 of the Companies Act, 2013, as far as practicable.

3.15-38 Internal Audit

Every producer company shall get the internal audit of its accounts done, at such interval and in such manner, as may be specified in its Articles. The internal audit shall be carried out by a chartered accountant as defined in section 2(1)(*b*) of the Chartered Accountants Act, 1949. Under the Chartered Accountants Act, 1949, he should also possess the certificate of practice without which he is debarred from public practice.

3.15-39 Duties of Auditor (Section 378ZG specifies duties of the auditor of a producer company and the same should not be mixed up with duties of internal auditors)

The section presently under discussion specifies certain additional duties of reporting by the statutory auditor of a producer company.

Additional duties of reporting - Without prejudice to the provisions of section 143 of the Act, the auditor shall also report on the following—

(*i*) The amounts of debts due along with particulars of bad debts, if any;

(*ii*) The verification of cash balance and securities;

(*iii*) The details of assets and liabilities;

(*iv*) All transactions which appear to be contrary to the provisions of this chapter;

(*v*) Loans given by the producer company to the directors;

(*vi*) Donations or subscriptions given by the producer company; and

(*vii*) Any other matter considered necessary by the auditor.

3.15-40 Donation or subscription by producer company

A producer company may make donation or subscription to any individual or institution, subject to approval by a special resolution of the company. The purposes for which donation/subscription can be made are - (*i*) promoting the social and economic welfare of producer members or producers amongst general public or (*ii*) promoting the mutual assistance principles. The aggregate amount of all the donation and subscription in any financial year shall not exceed three per cent of the net profits of the producer company in the financial year immediately preceding the financial year in which the donation and subscription is made. By an explicit proviso to section 378ZH, producer companies have been debarred from making any political contribution directly or indirectly. Donation/subscription to political parties or for political purposes to any person is not permissible whether in cash or in kind or by making available services of its officers/employees.

3.15-41 General and Other Reserves

Every producer company is required to maintain a general reserve in every financial year, in addition to any reserve maintained by it in terms of the Articles of the company. The wording used in section 378ZI appears to be somewhat confusing inasmuch as a general reserve created in the past and carried to following financial year/years, unless fully used up, will remain maintained. The appropriate expression should have been 'credited' with further mention of the amount or the manner of determining the amount.

A producer company may also have other reserves, as per the requirement of its articles. Where a producer company does not have sufficient funds in a financial year for credit (transfer) to reserves to be maintained in terms of the articles, the members of the company will have to contribute sums for transfer to the reserves in proportion to their patronage in the business of the company in that year.

3.15-42 Loans to Members and Investments (Sections 378ZK and 378ZZ) - Loans and Advances

The Board of a producer company may, subject to the provisions in its Articles, provide financial assistance to its members by way of : (*a*) credit facility in connection with the business of the producer company, for a period not exerting six months and/or (*b*) loans and advances against security specified in the Articles, repayable within a period exceeding three months but not exceeding seven years from the date of disbursement of such loan or advances. No loan or advance can be granted to any director of the company concerned or to his relative unless approved by members in general meeting. This restriction on loan or advance to director or his relative will prevail even when he is a member of the company. An inference can be drawn by a reading of the above in conjunction with section 378B that a producer company does not possess an inherent power to extend loan or advance or any other facility of the kind except to its members or directors. However, whether a producer company can grant any loan or advance to its employees will depend upon any specific enabling provision in the Articles. If directors can avail of loan/advance from the company, there is no reason to exclude employees from the facility.

Investments (Section 378ZL) - A producer company can make investments in certain instruments or in other producer company or in any other body corporate. The specific legal requirements follow :

Financial Instruments - Approved securities; fixed deposits; units, and bonds issued by the Government or cooperative bank or scheduled bank or in such other mode as may be prescribed. The investments shall be made in a manner to derive highest returns.

The sourcing for these investments shall be from the general reserves of the producer company. In other words, the aggregate investments made in various instruments as above should correspond but not exceed the aggregate of the general reserves held by the company. It is possible to have investments of a lesser amount than the aggregate of the general reserves depending upon circumstances. It seems that the detailed scope of investment in instruments will be prescribed by the MCA in due course.

Investment in shares [Section 378ZL(2) and (3)] - A producer company may for promoting its objects—

(*i*) invest in shares of another producer company (to achieve scale of operation, market share, synergy, etc. - modes of promoting objectives);

(*ii*) subscribe to the share capital of any other body corporate.

Under (*ii*) above, the investment is open to be made in any other company (not necessarily a producer company) and in any other body corporate. The immediate purpose of this investment may be formation of its subsidiary company or a joint venture or some other arrangement or agreement that entails subscription to the shares of another company or companies or of a body corporate. However, this investment in shares of a non-producer company or a body corporate needs approval by way of a special resolution of the investing producer company.

Apart from the two situations mentioned above of investing in shares of companies and body corporates, a producer company, either by itself or together with its subsidiary(ies) may invest by way of subscription, purchase or otherwise in shares in any other company for an amount not exceeding thirty per cent of the aggregate of its paid up capital and free reserves. If an investment of the category is to go beyond the thirty per cent limit, it requires prior approval of the Central Government besides the special resolution [*vide* section 378K(4)]. In this context, it is necessary to understand the implication of the reference to 'free reserves' for calculating the investment ceiling for the category. 'Free reserves' certainly include general reserves. Under section 378ZL(1) the entire amount of the general reserves is available for making investment in financial instruments discussed above.

All the investments of a producer company as discussed above must conform to the objects of the producer company, *e.g.*, if a producer company makes an investment in an 'entertainment company', it would amount to an impermissible investment as the objects of a producer company do not have anything as such to do with an entertainment company.

Investments made in shares of a non-producer company or in a body corporate covered by sub-sections (3) and (4) of section 378K can be disposed of by the Board of the company with prior approval of the members expressed, in a special resolution.

3.15-43 Register of investments [Section 378ZL(7) & (8)]

A producer company which has made investments, shall keep at its registered office, a Register containing specified particulars of investments in shares of companies. This register is open to inspection by the members of the producer company concerned and they are entitled to take extracts from the Register of Investments. This provision again is an instance of loose drafting of a law. Sub-section (7) primarily requires the Register to be maintained for all the investments. 'All the investments' obviously should include investments in financial instruments also. Unfortunately the particulars required to be entered therein refer only to shares in companies. Even shares in other body corporates also have been left out. The particulars of investments in shares of companies including producer companies are as under :

(1) Name of the company(ies) in which share have been acquired;

(2) Number and value of shares (value should mean acquisition price/consideration on the basis of normal accounting);

(3) The date of acquisition; and

(4) The manner and price at which any of the shares have been subsequently disposed of.

It seems the word 'acquired' should include 'subscribed' and accordingly points (2) and (3) above should be read.

3.15-44 Amalgamation, Merger or Division of Producer Company (Section 378ZN)

Under section 378ZN the coming together may take the form of transfer of the assets and liabilities of a producer company to another producer company, either in whole or in part, after approval by way of a resolution in the general meeting of the transferring producer company provided the transferee producer company had agreed to such transfer and had passed a resolution to that effect in its general meeting. The transferee producer company can only agree to the transfer if the same is in conformity with any of the objects for a producer company enumerated in section 378B of the Act. Apart from this mode, any two or more producer companies may, by resolution passed in their respective general meeting or special meeting, decide to (*i*) amalgamate and form a new producer company, or (*ii*) merge one producer company (merging company) with another such company (merged company). Therefore, coming together of producer companies can be by :

(1) transfer of assets and liabilities either in whole or in part,

(2) amalgamation of two or more producer companies, and

(3) merger of two producer companies (merger may even be partial *e.g.*, an undertaking out of several).

The mechanism of transfer does not entail life of any of the producer companies in agreement, unless all the assets and liabilities of the transferring company are transferred. In case of amalgamation, lives of both/all the amalgamating companies come to an end and in their place a new producer company is formed. In complete merger, the life of the merging company comes to an end and the merged company continues. Whatever may be mode or mechanism, all the producer companies involved in these arrangements have to get prior approval of their members in their respective meetings (general meeting in case of transfer and general or special meeting for the other two modes). The resolutions are to be approved by at least two-third majority of total number of members having the voting right, present and voting. It seems that sub-section (3) of this section has inadvertently omitted to mention special meeting of members mentioned in sub-section (2) for amalgamation or merger (special meeting has been mentioned as an alternative to general meeting). The resolution concerned shall contain all particulars of the transfer of assets and liabilities or of amalgamation or merger as the case may be.

Prior notice in writing has to be given to the members and creditors of respective companies by the company concerned. The notice has to accompany a copy of the proposed resolution. The objective for giving the notice is to seek consent of the members and creditors to the proposal [sub-section (4)]. It may be observed that no period of notice has been specified for the purpose and as such provision of section 378ZA(8) requiring fourteen days' notice will apply for general meeting and the same period will apply for special meeting, if any, unless the articles have provided for a notice of a longer duration. The members, in any case, has the right to attend the meeting and vote thereat reflecting their consent or otherwise. It seems that the creditors have the only recourse to give their consent or disapproval in writing to the company. So far members are concerned, it seems that they are not debarred from giving consent or disapproval in writing. If such a thing has happened and all or some of such members also attend the meeting and exercise their voting rights, then the written communication sent by the members will get nullified, if identity of members voting for or against the resolution is established. Clarification by appropriate Authority is needed to strengthen this situation regarding members. It may be that written communication of members not present in the meeting may be accepted while the same from members present will get nullified.

A member or creditor not consenting to the resolution has the right to the following options, to be exercised within one month of the date of service of the notice on him :

(*i*) non-consenting members can transfer their shares in the producer company to any active member of the company, with the approval of the Board. These may even be purchased by the producer company itself [*vide sub-section 8(6)*]

(*ii*) non-consenting creditors would be entitled to withdraw their deposit/loan/ advance, as the case may be, from the company. This right of exercising option by members and creditors is unfettered by anything to the contrary contained in the Articles or in any contract with the company [sub-section (5)]. Any member or creditor who does not exercise this right within the period of one month mentioned above, shall be deemed to have consented to the resolution [sub-section (6)]. A resolution being discussed in the context of coming together of producer companies, shall not take effect until the expiry of one month (from the date of its passing) or the assent thereto of all the members and creditors has been obtained, whichever is earlier. As a practical understanding, it seems expiry of one month will be earlier in most cases as obtaining consent from all the creditors and members, if possible, would be a time-consuming process.

3.15-45 Dispute Resolution (Section 378ZO)

Presumably taking into account the fact that in a producer company general members have more intimate interest in the affairs of the company than perhaps in other companies, possibility of internal disputes amongst and among the members and directors etc. is far greater. Here members are by and large producers and they supply their products to the company of which they are the members. Accordingly this section provides that where any dispute on formation, management or business of a producer company arises—

(*a*) amongst members, former members or persons claiming to be members or nominees of deceased members; or

(*b*) between a member, former member or a person claiming to be a member or nominee of a deceased member and the producer company, its Board, office bearers (the provision of this part has not indicated what would constitute "office bearers"), or liquidator, past or present; or

(*c*) between the producer company or its Board, and any director, office bearer or any former director, or the nominee, heir or legal representative of any deceased director of the producer company, such dispute shall be settled by conciliation or by arbitration as provided under the Arbitration and Conciliation Act, 1996. The aforesaid parties to dispute shall be deemed to have consented in writing for determination of such disputes by conciliation or arbitration under the aforesaid Act. A dispute referred to above shall include :

(*i*) a claim or any debt or other amount due;

(*ii*) a claim by surety against the principal debtor, where the producer company has recovered from the surety amount in respect of any debtor or other amount due to it from the principal debtor as a result of the default of the principal debtor whether such debt or amount due be admitted or not;

(*iii*) a claim by a producer company against its member for failure to supply produce as required of him;

(*iv*) a claim by a member against the producer company for not taking goods supplied by him.

On the primary issue (contention), if any of determining whether a dispute pertains to formation, management or business of the producer company, such matter shall be referred to the Arbitrator, whose decision shall be final.

It may be noted that any dispute involving the producer company with others *i.e.*, third parties will, however, has to be referred to appropriate judicial forum.

3.15-46 Striking off the name of producer company [Section 378ZP]

When the ROC is satisfied after serving show-cause notice on the producer company and its directors and after giving them reasonable opportunity to represent their cases that the producer company (*i*) has failed to commence business within one year of its registration, or (*ii*) has ceased to transact business with its members (the very foundation of the producer company concept) or (*iii*) is no longer carrying on any of its objects with which it was incorporated or operating pursuant to section 378B of the Act, the name of the producer company can be struck off the Register maintained by the ROC. In regard to (*iii*) above the ROC at the primary stage must have made due enquiry about non-functioning status of the producer company before issuing the show-cause notice and giving opportunity to the company and its directors to make representation against the allegation in the show-cause notice.

Where, however, the ROC has reasonable cause to believe that a producer company is not adhering to any of the mutual assistance principles specified in this part (another basic foundation of a producer company), he shall strike its name off the register in accordance with provisions of section 248 of the Act.

Any member of a producer company where the producer company's name has been struck off by the ROC on (*i*) or (*ii*) or (*iii*) above, who is aggrieved by the order of the ROC to strike off the name of the company, may appeal to the Tribunal within sixty days of the order. In that event the ROC's order will remain in abeyance until the appeal is disposed of. It implies that the ROC will not give effect to his order of striking off till the period for making appeal to his order is over and if appeal has been filed in due time, he will not act on his order until the appeal is disposed of. If as a result of the appeal, the order of the ROC is nullified then, there will not arise the case of striking off the name of the company from the register of the ROC.

3.15-47 Reconversion of a Producer Company to inter-State Co-operative Society (Sections 378ZS and 378ZT)

An inter-State cooperative society which transformed itself to a producer company under section 378J in the Act can make an application to the Tribunal for returning to its earlier status on the basis of (*i*) a resolution passed by its members in a general meeting, where at least two-third of its members present voted for re-conversion or (*ii*) on request of its creditors representing at least three fourth in value of its total creditors. Upon receipt of the application, the Tribunal shall direct holding of meeting of its members or creditors, as the case may be, in the manner as may be specified in the direction. If in the members' meeting a three-fourth majority of the members in number, present in person and voting or if at least three-fourth majority in value of the creditors present in person and voting in the creditors' meeting, as the case may be, vote for reconversion, then such resolution shall be considered by the Tribunal. If the Tribunal sanctions the re-conversion, the sanction shall be binding on all the members' and creditors and the company concerned. As a pre-condition for court's consideration for sanction of re-conversion, the company or any other person. [Section 378ZS(1) does not recognize anybody else other than the company as competent to make application which or who made the application to the Tribunal must disclose by affidavit or otherwise to the Court, all material facts relating to the company latest financial position of the company, the latest auditor's report on the accounts of the company, the pendency of any investigation proceedings against the company.

A certified copy of the Tribunal's order shall be filed with the ROC and only then the order will take effect. Upon the order getting effect as above, the same shall be annexed to every copy of the memorandum of the company or in the absence of memorandum to every copy of the instrument constituting the company.

After an application for re-conversion has been received by the Tribunal from the company concerned or any other person competent to make the application, the Tribunal may stay the commencement or continuation of any suit or proceeding against the company on such terms as the Tribunal thinks fit, until the application is finally disposed of. If the court does not sanction re-conversion, naturally the stay will get vacated and presumably, the Tribunal's final order will include this. But the provision is silent on what would happen to the stay order if reconversion is sanctioned. It seems that the original suit/proceeding will survive for the reconverted inter-state cooperative society, to the extent the same will not be inconsistent with the new status of the erstwhile company.

Every producer company allowed to re-convert into an inter-state cooperative society shall make an application under the Multi-state Co-operative Societies Act, 1984 or any other law for the time being in force for its registration as multi-state cooperative society or as cooperative society, as the case may be, within six months of the sanction by the Tribunal. A report thereof has to be filed with the Tribunal, the concerned ROC and the concerned Registrar of Cooperative Society.

3.15-48 Power of the Central Government to modify the provisions of the Companies Act, 2013 in their application to Producer Company (Section 378ZT)

The Central Government may, by notification in the Official Gazette, direct that any of the provisions of the Companies Act, 2013 - (*a*) shall not apply to producer companies generally or any class or category thereof (*e.g.*, Artisans's Producer

Company or Silk Worm Producers' Company), or (*b*) shall apply to the Producer Companies gene-rally or to any class or category thereof with such exception or adaptation as may be specified. A copy of every Notification proposed for the above purpose shall be laid in draft before each House of Parliament, while it is in session, for a total period of thirty days comprised of one or more successive sessions. If both the Houses agree in disapproving the issue of the Notification or if both the Houses agree in making any modification on the draft Notification, the Notification shall not be issued in the former case or shall be issued only in such modified form as have been agreed by both the Houses. It is, however, not clear how to deal with the situation of varying views of the Houses.

3.16 Illegal Association [Sec. 464]

Section 464(1) of the Companies Act, 2013 read along with Rule 10 of the Companies (Miscellaneous) Rules, 2014 provides that no association or partnership consisting of more than 50 persons shall be formed for the purpose of carrying on any business that has for its object the acquisition of gain by the association or partnership or by the individual members thereof, unless it is registered as a company under this Act or is formed under any other law for the time being in force.

Thus, if such an association is formed and not registered under either the Companies Act or any other law, it will be regarded as an 'Illegal Association' although none of the objects for which it may have been formed is illegal.

In order to attract the prohibition contained in section 464[8], four conditions must be fulfilled: (*i*) it must be a company, association or partnership consisting of more than the specified number of members; (*ii*) it must not have been registered as a company under the Companies Act nor must it have been formed in pursuance of some other Indian Law; (*iii*) that it must have been formed for the purpose of carrying on any business; and (*iv*) that the business must have for its object the acquisition of gain by the company, association or partnership or by the individual members thereof - *V.V. Ruia* v. *S. Dalmia* [1968] 115 Comp. Cas. 572 (Bom.).

Word 'business' in section 464(1) should be construed in a wide manner and a company formed with object of acting as a trustee can also be treated as business activity and that 'business' does not necessarily mean or is limited only to, commercial activity; word 'business' is not confined only to commercial activity for profit in case of trust companies - *B. Ramachandra Adityan* v. *Educational Trustee Co. (P.) Ltd.* [2003] 41 SCL 385 (Mad.).

3.16-1 Exceptions

However, section 464(1) does not apply in the following cases:

3.16-1a STOCK EXCHANGE - In *V.V. Ruia* v. *Dalmia*, it was decided that a stock exchange is not covered by section 11 (now section 464) because it is not formed for the purpose of carrying on any business.

3.16-1b ASSOCIATIONS 'NOT FOR PROFIT-MAKING' - All charitable, religious, scientific, literary, social and other associations including clubs not having as their object the acquisition of gain are excluded from the purview of the section.

8. The corresponding section under the Companies Act, 1956 was section 11.

3.16-1c JOINT HINDU FAMILY - Section 464 does not apply to one joint family, that is, a joint Hindu family may carry on any business, even for earning profits and with any number of members without being registered or formed in pursuance of any Indian Laws as required by section 464 of the Act, and yet it will not be illegal association. But, where two joint Hindu families join hands to carry on business, the provisions of section 464 become applicable. However, in such a case, in reckoning the number of members of such an association, the minor members shall be excluded. As regards adult members, both male and female members shall be taken into account.

3.16-2 Effects of an illegal association

Following are the effects on an association being illegal :

1. Every member is personally liable for all liabilities incurred in the business.
2. Members are punishable with fine which may extend up to Rs. 1,00,000.
3. Such an association cannot enter into any contract.
4. Such an association cannot sue any of its members or any outsider, not even if the association is subsequently registered as a company.
5. It cannot be sued by a member or an outsider for any debts due to him because it cannot contract any debt.
6. It cannot be wound-up even under the provisions relating to winding-up of unregistered companies.
7. *Can a member sue for partition or dissolution or accounts of an illegal association ?* The question was brought before the High Court of Allahabad in *Mewa Ram* v. *Ram Gopal* AIR 1926 All. 591. It was held that where an association was illegal and the business had been carried for some years, none of its members could sue for partition because partition would involve realisation of the assets of the company and payment of its debts, the very things which would be done in a suit for dissolution of partnership or winding-up of a company. It should be noted that while an unregistered firm can be dissolved, an illegal association cannot be dissolved because law does not recognise its very existence.
8. The illegality of an illegal association cannot be cured by subsequent reduction in the number of its members (*Kumar Swami Chettiar* v. *M.S.M. Chinnathambi Chettiar*).
9. The profits made by an illegal association are, however, liable to assessment to income-tax (*Gopalji Co.* v. *CITA*).

3.17 Unregistered Companies [Section 375]

Section 375 of the Companies Act, 2013 defines an unregistered company to include any partnership firm, limited liability partnership or society or cooperative society, association or company consisting of more than seven members*. The expression shall, however, not include :

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*As per section 464 read along with Rule 10 of Companies (Miscellaneous) Rules, 2014, it cannot have more than 50 members.

(*i*) A railway company incorporated by any Act of Parliament or other Indian Law or any Act of Parliament of the United Kingdom;

(*ii*) A company registered under the Companies Act, 2013; or

(*iii*) A company registered under any previous Companies Laws and not being a company the Registered Office whereof was in Burma, Aden or Pakistan immediately before the separation of that company from India.

3.18 Dormant Company [Section 455]

'Dormant company' means a company which has been formed and registered under the Companies Act, 2013

(*i*) for a future project or to hold an asset or intellectual property,

(*ii*) has no significant accounting transaction, and

(*iii*) has not filed financial statements or annual returns for two financial years consecutively.

3.19 Inactive Company [Section 455]

"Inactive company" means a company which has not been carrying on any business or operation, or has not made any significant accounting transaction during the last two financial years, or has not filed financial statements and annual returns during the last two financial years.

Test your knowledge

[Questions have been selected from past examinations of C.A. (Inter)/PE-II/PCC/Final, C.S. (Inter)/Final, ICWA (Inter)]

1. Define a 'private company'. State the special privileges and exemptions enjoyed by a private company. Also state the circumstances under which a private company is deemed to be a public company.
2. Outline the procedure for converting a public limited company into a private limited company under the provisions of Companies Act, 1956, and the rules thereunder.
3. Write an explanatory note on 'Holding and Subsidiary Companies'.
4. Write a short note on 'Government Company'.
5. Write a short note on 'Foreign Company'.
6. Write a short note on 'Section 25 Companies'.
7. "A company may be formed without using the word(s) 'Limited' or 'Private Limited' at the end of its name".
8. Write a short note on 'Illegal Association'.
9. (*a*) An existing public limited company has decided to convert itself into a private limited company. Discuss in detail the procedure to be adopted for the purpose.

   (*b*) What are the requisites for getting a licence from the Central Government for registering a company under section 8 of the Companies Act, 2013 and what are the exemptions enjoyed by such a company?

   (*c*) State the criteria under which a company shall become a subsidiary of another company.
10. Write a short note on 'Guarantee Company'.

11. Define a Government Company. Summarise the provisions of the Companies Act, 2013 relating to Government companies. State a few exemptions granted to such companies.
12. "Foreign companies having a place of business in India are also governed by the Companies Act, 2013". Comment.
13. "The place from which a representative of a foreign company in India conducts meetings of shareholders or even directors, and procures orders from customers is a 'place of business' of the foreign company". Comment.
14. State with reasons and relevant provisions/case laws, wherever applicable, whether the following statement is correct or incorrect:

    "Foreign company has opened an office for operating bank accounts in India. Hence, it is supposed to carry on business in India."
15. A company incorporated outside India decides to establish a place of business in India. State the documents that are required to be filed by such foreign companies under the Companies Act soon after establishment of a place of business in India.
16. What are the books of account to be maintained under the Companies Act, 2013 by a foreign company having established a place of business within India ?
17. An existing society seeks your advice as to its eligibility to be registered as a 'Producer Company' under the Companies Act and the procedure to be followed for such registration. Advise explaining the relevant provisions of the Companies Act.
18. (*i*) An Inter-State Cooperative Society has been incorporated on 1st May, 2014 as a Producer Company under the provisions of the Companies Act. Give your comments on its proposal to have 18 directors on its Board after incorporation as a Producer Company.

    (*ii*) A producer company wants to issue bonus shares. You are required to state the relevant provisions of the Companies Act in this regard.

    (*iii*) What are the modes of investment, from and out of its general reserves, available to a producer company formed and registered under the Companies Act?
19. (*i*) As per provisions of the Companies Act, 2013 what is the status of XYZ Ltd., a company incorporated in London, UK, which has a Share Transfer Office at Mumbai?

    (*ii*) ABC Ltd., a foreign company having its Indian principal place of business at Kolkata, West Bengal is required to deliver various documents to Registrar of Companies under the provisions of the Companies Act, 2013. You are required to state, where the said company should deliver such documents.

    (*iii*) In case, a foreign company, does not deliver its documents to the Registrar of Companies as required under section 380 of the Companies Act, 2013, state the penalty prescribed under the said Act, which can be levied.

PRACTICAL PROBLEMS

1. In a private limited company it is discovered that there are, in fact, 204 members. On an enquiry, it is ascertained that 6 of such members have been employees of the company in the recent past and that they acquired their shares while they were still employees of the company. Is it necessary to convert the company into a public limited company?

   Hints - As per section 2(*68*), a company to be registered as a private company must restrict its membership to 200 only. However, in counting this number of 200 members, employee members and ex-employee members (*i.e.*, those who become members while in the employment of the company but now having ceased to be in the employment still continue to retain membership) are to be excluded. Thus, in the given case, the company shall continue to be a private company. There is no need for conversion.

2. The paid-up share capital of XYZ (Private) Company Ltd. is Rs. 20 lakhs consisting of 2,00,000 equity shares of Rs. 10 each fully paid-up. ABC (Private) Ltd. and its subsidiary DEF (Private) Ltd. are holding 60,000 and 50,000 shares respectively in XYZ (Private) Co. Ltd.

Examine with reference to the provisions of the Companies Act, 2013. Whether XYZ (Pvt.) Co. Ltd. is a subsidiary of ABC (Pvt.) Ltd. Would your answer be different if DEF (P.) Ltd. is holding 1,10,000 shares in XYZ (Pvt.) Co. Ltd. and no shares are held by ABC (Pvt.) Ltd. in XYZ (Pvt.) Co. Ltd. ?

[**Hints** - Section 2(*87*) of the Companies Act, 2013, *inter alia,* provides that a company shall be deemed to be the holding of another where it either at its own or together with one or more of its subsidiary companies holds more than half of the total share capital of the other. Further, shares held or power exercisable by a subsidiary shall be treated as held or exercisable by the said company. Thus, the shares held or power exercisable by a subsidiary shall be treated as 'held' or 'exercisable' by the holding company. Thus, in the given case XYZ (Pvt.) Ltd. shall be deemed to be the subsidiary of ABC (Pvt.) Ltd.

The second situation is rather simpler inasmuch as under *Explanation (a)* to section 2 (*87*), a company which is a subsidiary of a subsidiary shall also be deemed to be the subsidiary of the holding company. Accordingly, XYZ (Pvt.) Ltd. shall be, on the basis of majority shareholding criterion, the subsidiary of DEF (Pvt.) Ltd. and DEF (Pvt.) Ltd. being subsidiary of ABC (Pvt.) Ltd.; XYZ (Pvt.) Ltd. shall also be subsidiary of ABC (Pvt.) Ltd.].

3. Fortune Traders Ltd. was registered as a public company. There are 215 members in the company as noted below :

(*i*) Directors and their relatives	35
(*ii*) Employees	100
(*iii*) Ex-employees (shares were allotted when they were employees)	20
(*iv*) 15 couples holding shares jointly in the names of husband and wife (15×2) =	30
(*v*) Others	30
Total number of members	215

The Board of Directors of the company propose to convert it into a private company. Advise the Board of directors about the steps to be taken for conversion into a private company including reduction in the number of members, if necessary.

Hints : A private company as per section 2(*68*) cannot have more than 200 members. But for counting these 200 members, employee members and ex-employee members (provided they acquired the shares while in employment) are to be excluded. Besides, joint members are to be counted as single member. Accordingly, total number of members are actually $35+15+30=80$ only. No reduction in membership is therefore called for. *For procedure to convert a public company into private company, refer Para 3.6.*

4. A group of promoters propose to establish a company for charitable purposes without the addition of the word 'Limited' as part of its name. Discuss briefly the procedure to be followed in addition to the normal procedure for incorporation of a company.

Hints : *Refer Para 3.12-4*

5. Radiant Pvt. Ltd. had 5,00,000 equity shares of Rs.10 each fully paid as on 31st March, 2014. Two shareholders holding 1,50,000 equity shares each sold their shares to Srilakshmi Ltd. at Rs. 15 per share and the Board of directors approved the same on 20th April, 2014. Discuss the implication of the said share transfer.

Hints: With the acquiring of 3,00,000 equity shares by Srilakshmi Ltd., Radiant Private Ltd. becomes public company under section 2(*71*) of the Companies Act, 2013.

As per section 2(*71*), a public company includes a company which is a private company, which is a subsidiary of a company which is not a private company. Radiant Pvt. Ltd. by virtue of the said share transfer has become the subsidiary of Srilakshmi Ltd. Therefore, Radiant Pvt. Ltd. shall have to take steps for converting itself into a public company.

6. (*i*) An inter-state cooperative society has been incorporated on 1st May, 2008 as a Producer Company under the provisions of the Companies Act. Give your comments on its proposal to have 18 directors on its Board after incorporation as a Producer Company.

(*ii*) Mr. Zameen, a member of a Producer Company, wants to transfer his shares. You are required to state as to how he can transfer his shares under the provisions of the Companies Act, 1956.

Hints : (*i*) As per provisions of section 581-O of the Companies Act, 1956[9], any Producer Company cannot have more than fifteen directors. However, by way of a proviso, the said section further provides that an inter-state cooperative society which is incorporated as a Producer Company, may have more than fifteen directors for a period of one year from the date of its incorporation as a Producer Company.

In view of the above provisions of the Companies Act, 1956, the proposal to have 18 directors by the Producer Company after its incorporation as such, is a valid proposition, but since it is incorporated on 1st May, 2008, it can have more than 15 directors for one year only from the date of its incorporation.

(*ii*) According to the provisions of section 581ZD(1) and (2) of the Companies Act, 1956, the shares of a member of a Producer Company may, after obtaining the previous approval of the Board, transfer the whole or part of his shares along with any special rights, to an active member at par value.

Based on the above provisions relating to the transfer of shares of a member in a Producer Company, Mr. Zameen has to obtain prior approval of the Board and then transfer his shares to an active member of the Producer Company at par value.

9. MCA has clarified that Producer companies shall continue to be governed by the Companies Act, 1956.